Deutsche Bank
Research

The Great 2026 Reset...

May 2026

Jim Reid | Galina Pozdnyakova | Henry Allen | Rajsekhar Bhattacharyya

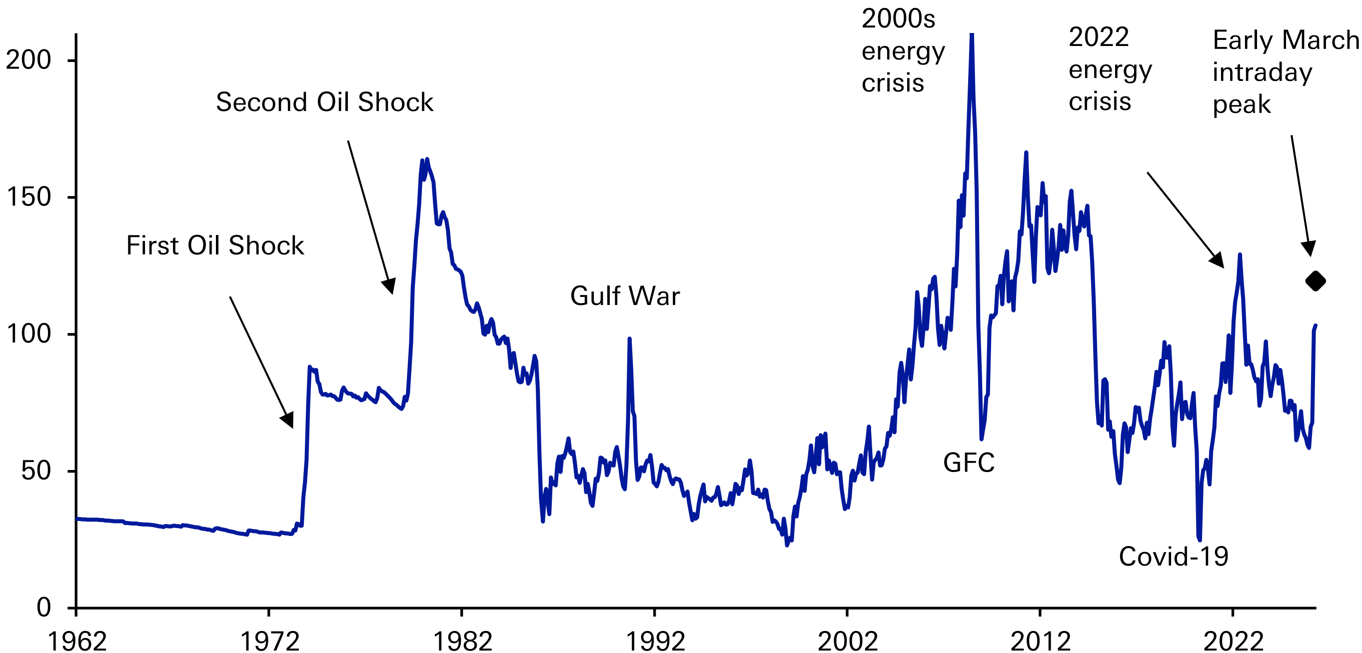
Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

Deutsche Bank
Research Institute

Today's oil shock is now becoming one of the bigger ones of recent decades… but despite the headlines, it's some way from being the most serious ever…

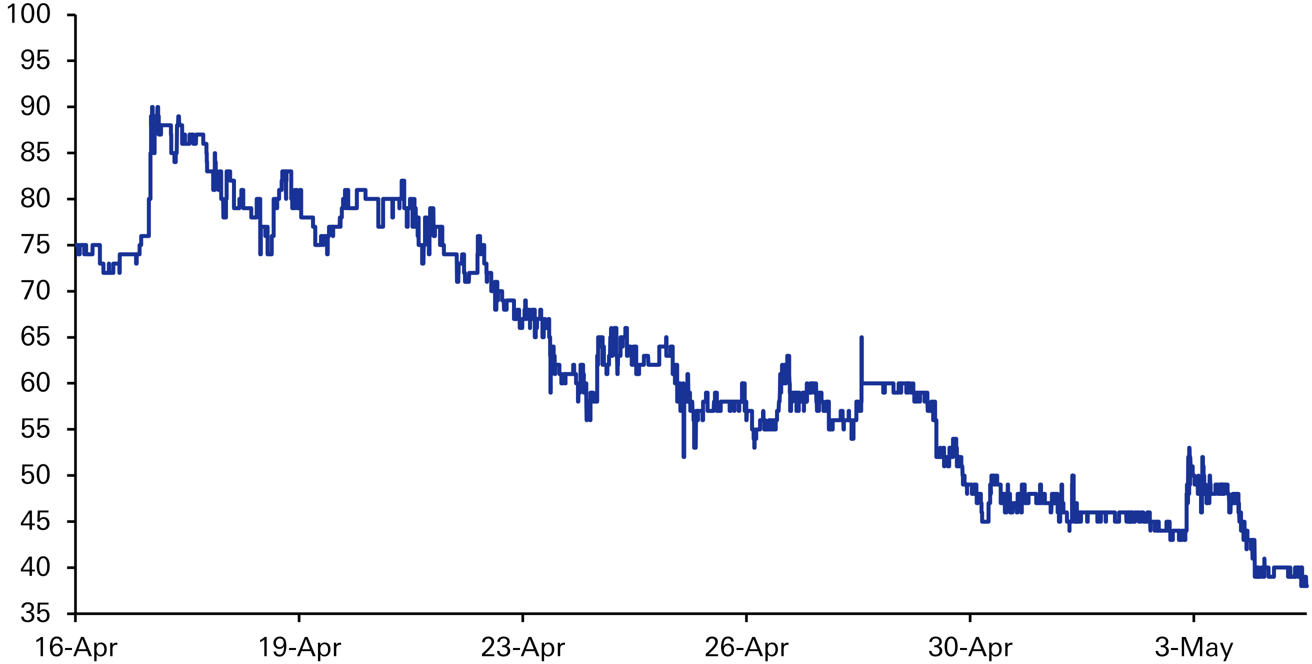
WTI Oil Prices in real terms ($/bbl)



Source : Finaeon, Bloomberg Finance LP, Deutsche Bank.

Probability markets (and likely global investors) are becoming increasingly pessimistic about an imminent return to normality...

Polymarket probability (%) of the Strait of Hormuz traffic returning to normal by the end of June 2026.

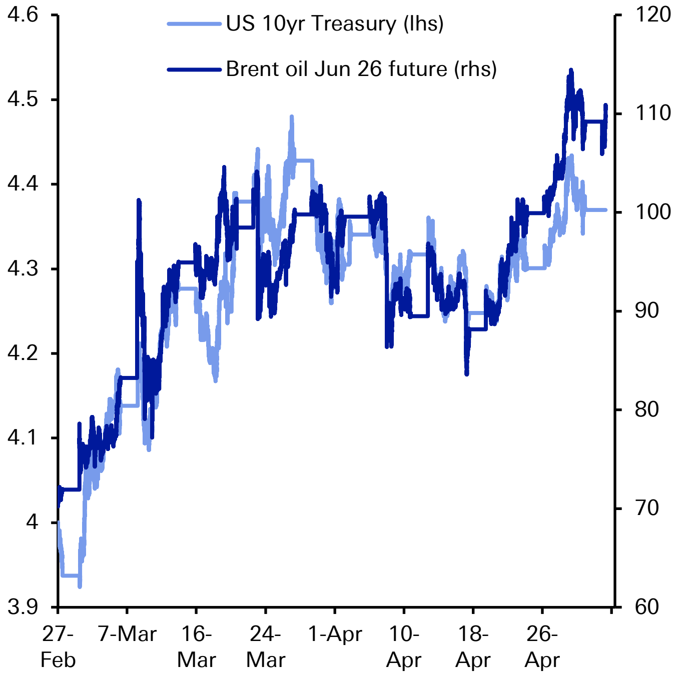


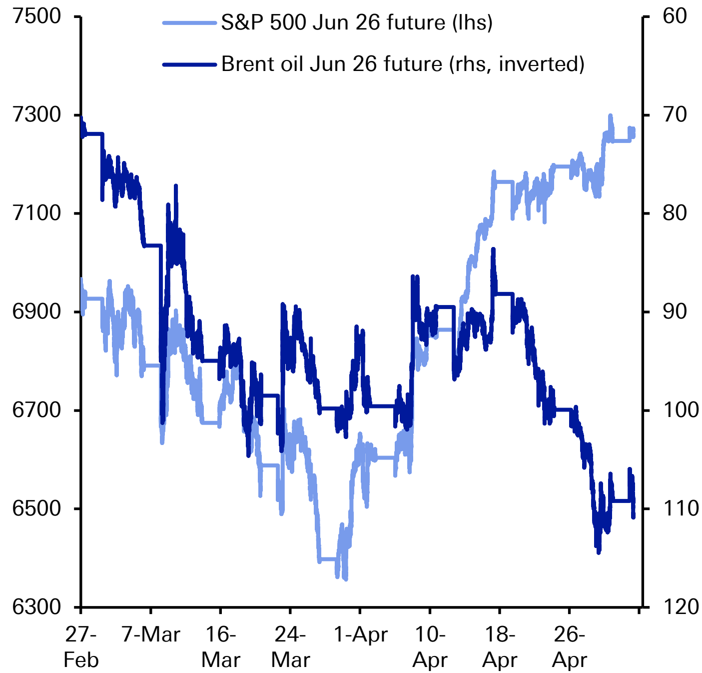
Source: Bloomberg Finance LP, Deutsche Bank, Last update: May 5

Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

However, there's been an interesting divergence between equities and rates… the 10yr Treasury is still trading in a tight correlation with oil. US equities have now seen a big decoupling…

Correlation between 10yr Treasury yields, S&P 500 futures, and Brent crude oil

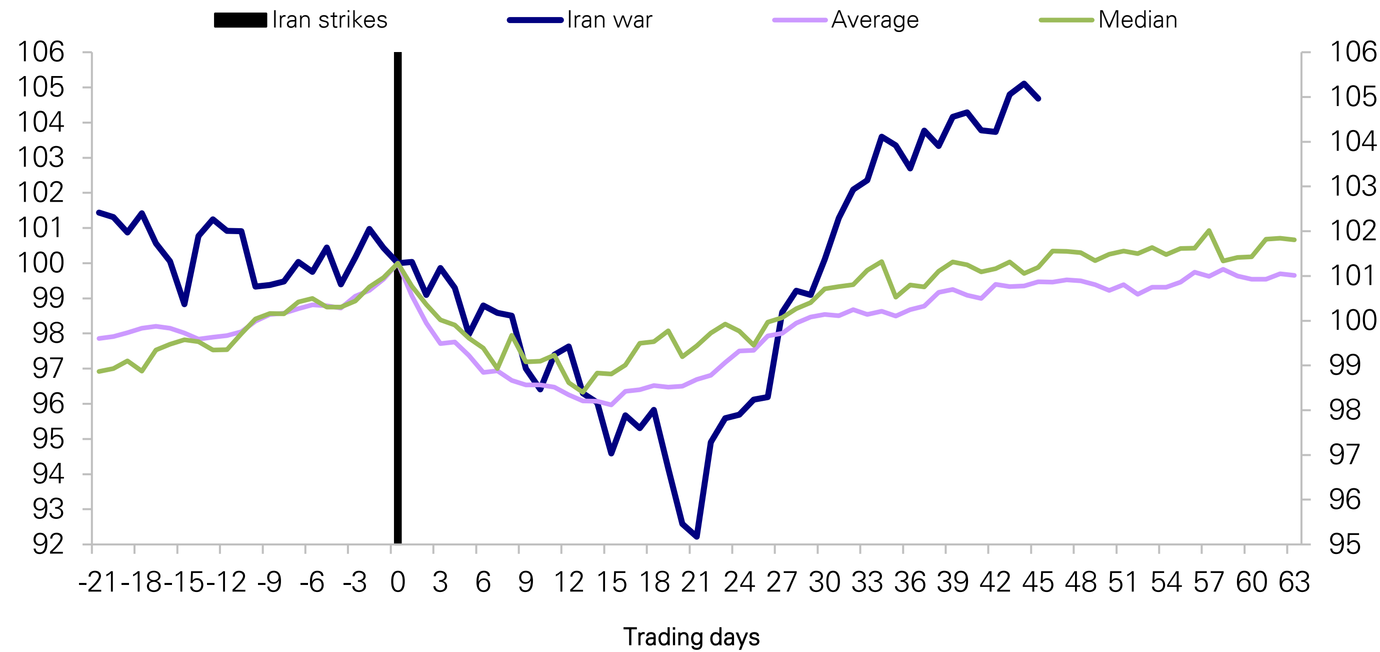




Source : Bloomberg Finance LP, Deutsche Bank.

… Indeed the historical playbook around geopolitical shocks and US stocks has (broadly) worked again…

S&P 500 around Geopolitical events since 1939



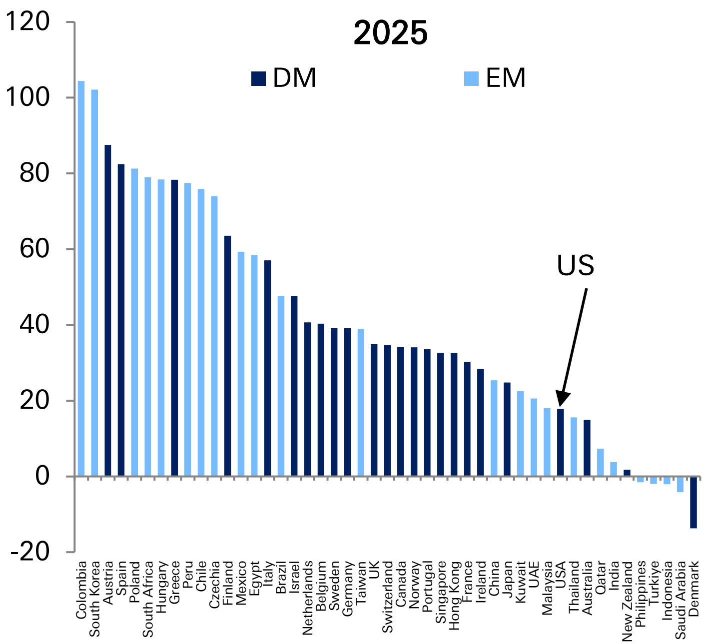
Median and Average calculated for events since 1939

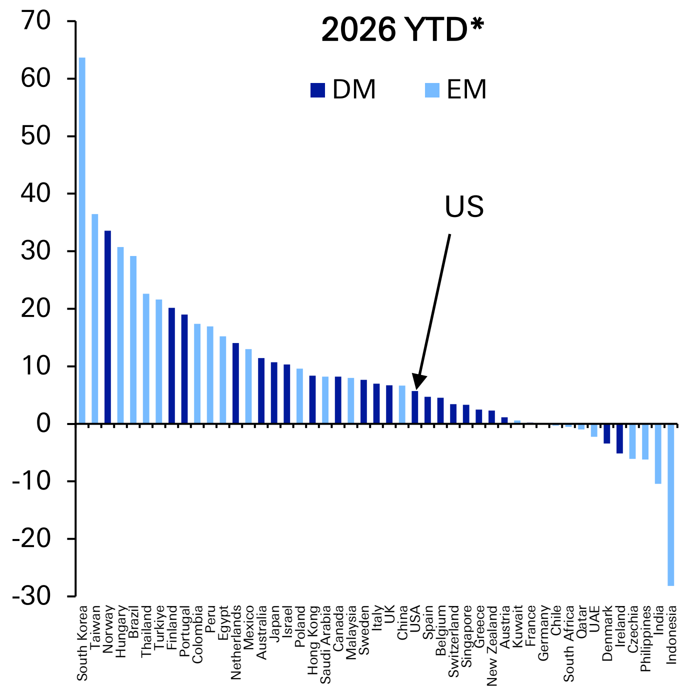
Source: Bloomberg Finance LP, Deutsche Bank, Last update: May 4

Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

Even though the US equity market has rebounded strongly, it remains just below the middle of the global pack YTD 2026 even if it has risen up the leaderboard since the start of the war...

Bloomberg large/mid-cap country stock market indices: 2025 total return in USD (%) (left) and 2026 YTD (right)

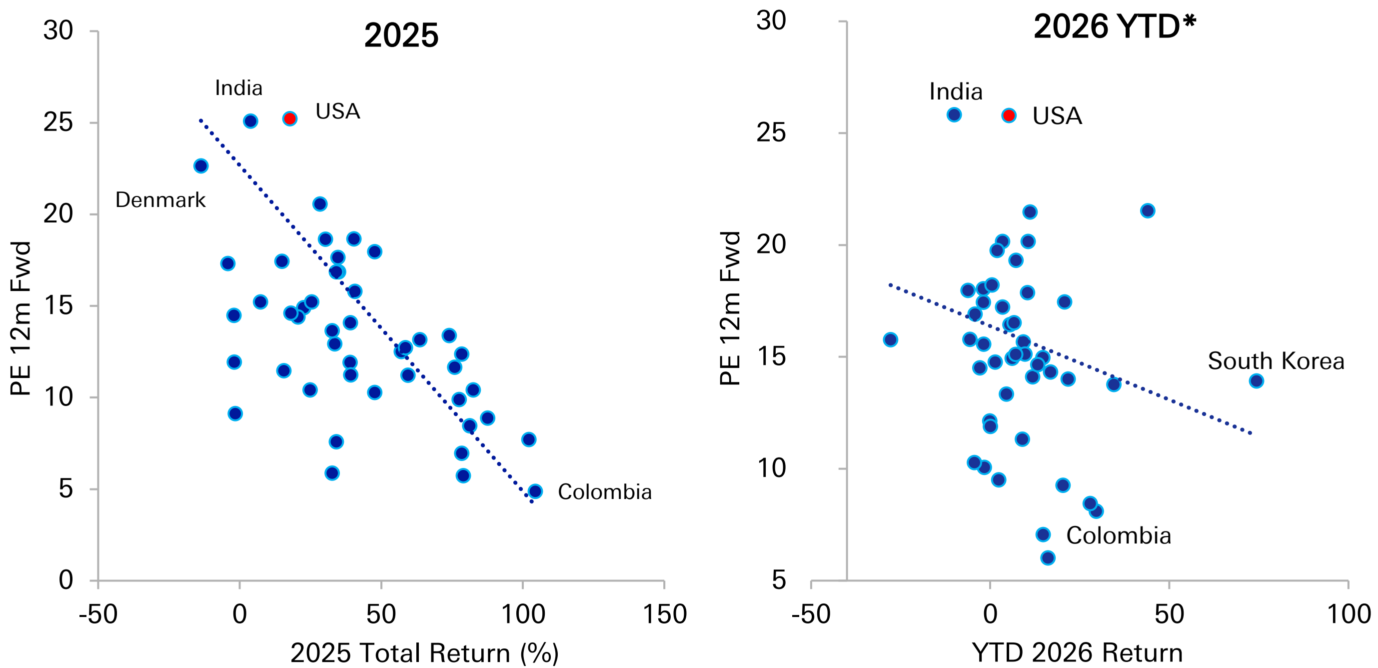




*Source: Bloomberg Finance LP, Deutsche Bank, *Note: 2026 YTD is updated through May 1*

2025 Global Equity returns saw a strong correlation to starting valuations. In 2026 there remains a slight bias that way but the war seems to have complicated returns a bit more…

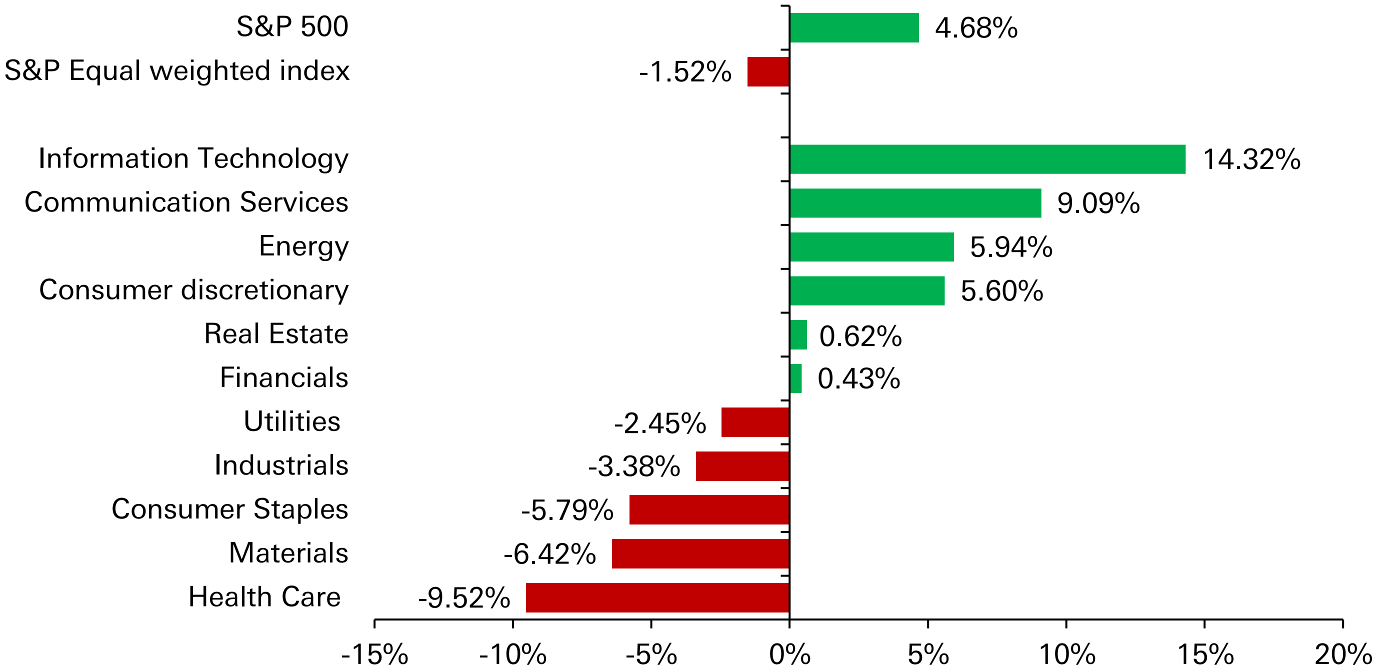
Bloomberg large/mid-cap country stock market indices, 2025 total return in USD vs. 12m fwd PE estimates at the end of 2024 (left) & Bloomberg large/mid-cap country stock market indices, 2026 YTD return in USD vs. 12m fwd PE estimates at the start of 2026 (right)



*Source: Bloomberg Finance LP, Deutsche Bank *Note: 2026 YTD is updated through May 4*

The US climb up the leaderboard since the war begun has been helped by a rebound in tech.

S&P Sectors return since Feb 28 : Middle East War



Source : Bloomberg Finance LP, Deutsche Bank; Updated through May 4

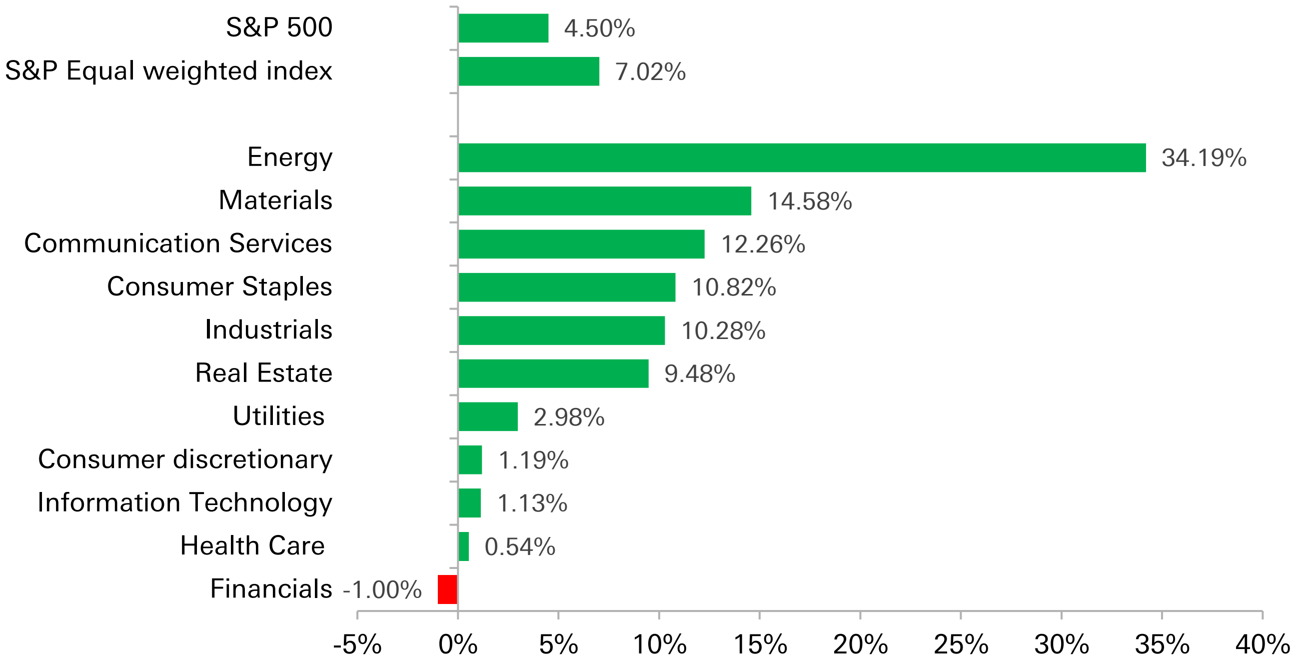
As an example of this tech outperformance, Intel's share price has finally exceeded its high back in 2000. A positive of course but is it a warning from the past as to how long it can take for stocks to recover after a valuation surge..

A Historic comeback: Intel's stock finally tops its 2000 high

Source : Bloomberg Finance LP, Deutsche Bank, Last update: May 4

Zooming out, US tech is broadly flat in the 6 months since the end of October which is why other global markets have outperformed since this point...

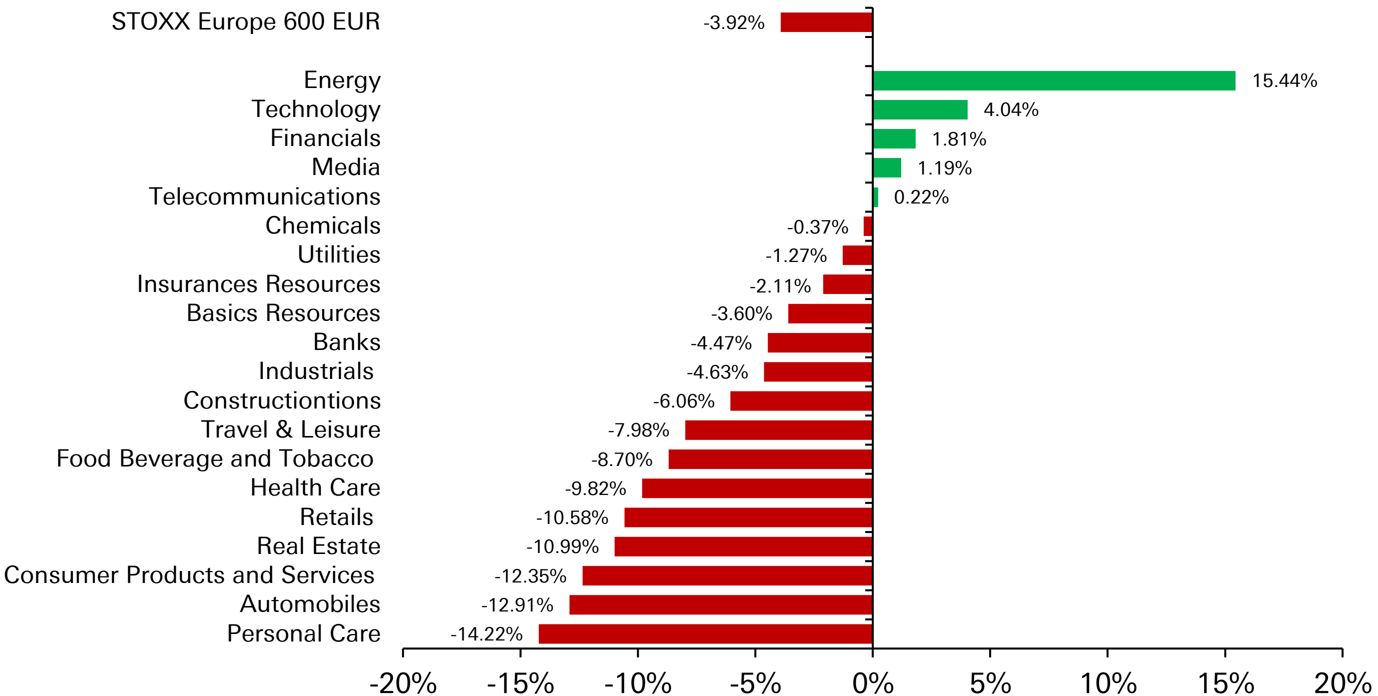
S&P Sectors return since October 29, 2025



Source : Bloomberg Finance LP, Deutsche Bank., Last update : May 4

Given its exposure to the energy shock, Europe's STOXX 600 has struggled since the Iran conflict began… although energy stocks are the clear exception, with tech also outperforming…

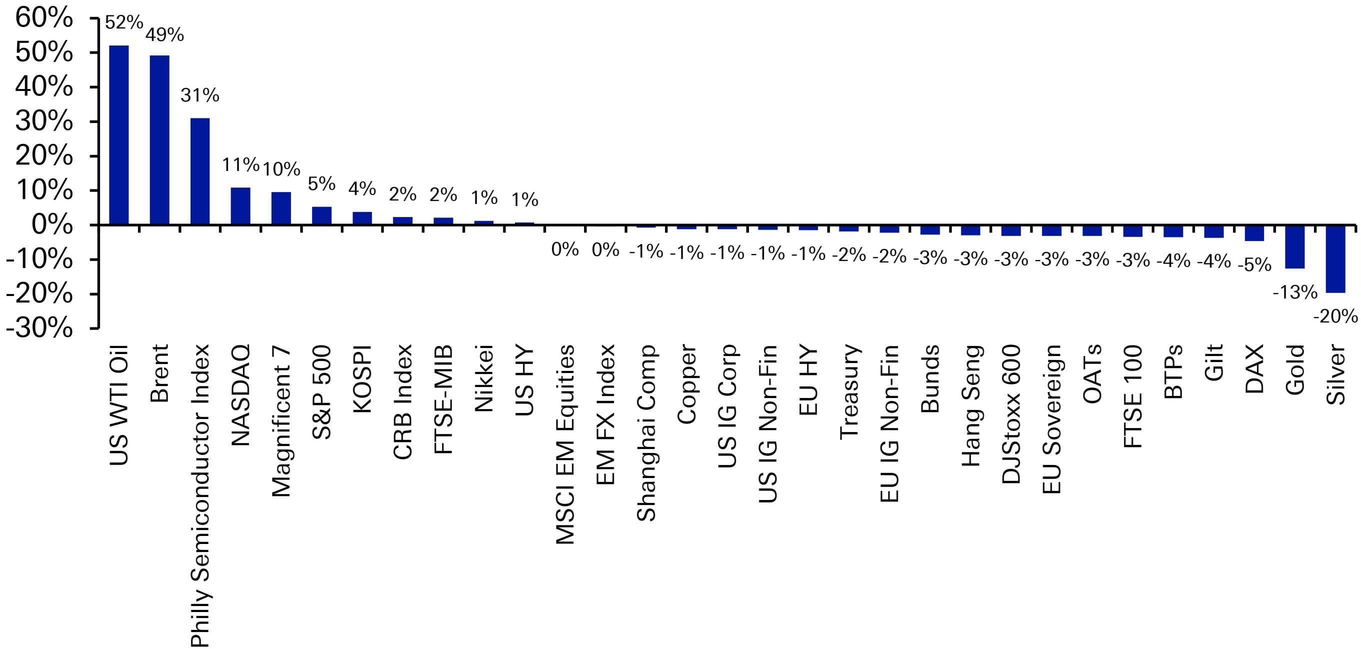
STOXX Europe 600 Sectors return since Feb 28 : Middle East War



Source : Bloomberg Finance LP, Deutsche Bank., Last update : May 5

Looking at a global level, oil has unsurprisingly been the standout performer since the war began, followed up by US equities… at the other end are precious metals and European assets…

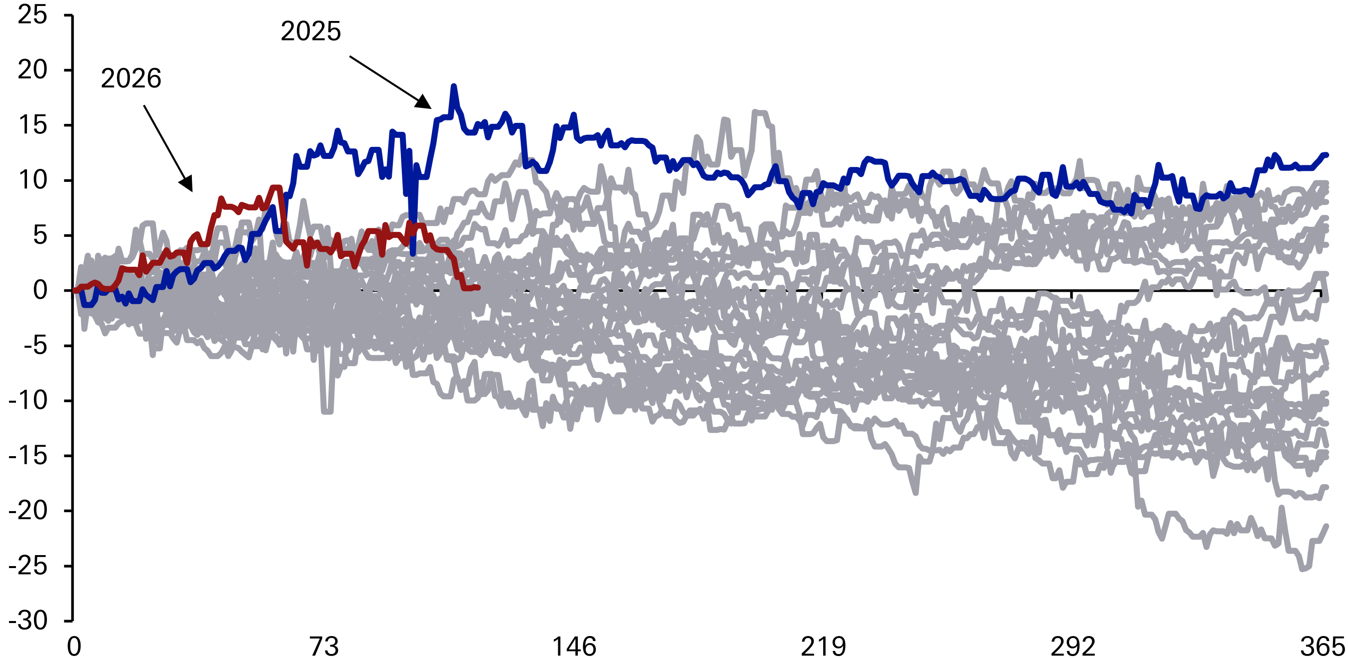
Total Return Performance of Selected Global Assets since the Iran conflict began (USD terms)



Source: Bloomberg Finance LP, Deutsche Bank, Note: Equities, credit and bonds shown on total return basis, FX and commodities shown on spot return basis

2026 had initially looked like another year of US equity underperformance until the Iran conflict, but Europe's exposure to the energy shock and the US tech outperformance has meant US equities are more in line with the rest of the world again…

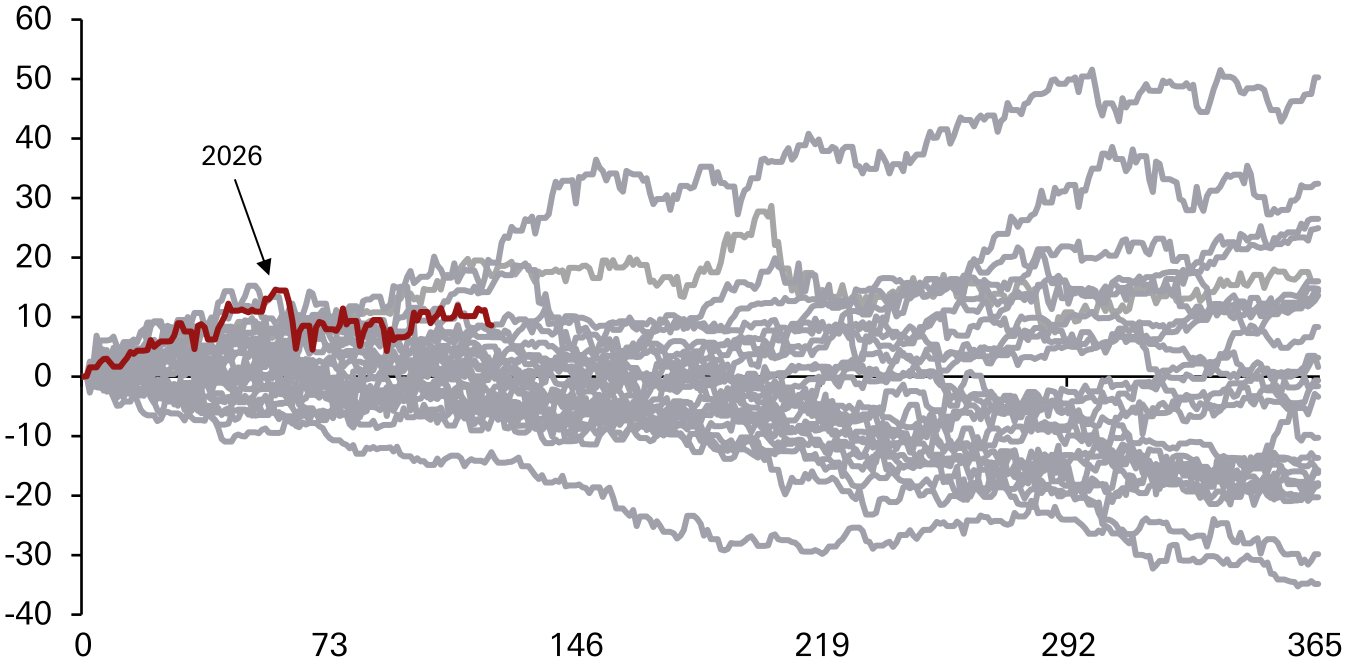
Outperformance (percentage points) between the MSCI World ex US index and the MSCI US Index since 2000



Source: Bloomberg Finance LP, Deutsche Bank

That said, the outperformance of EM equities this year has persisted, despite the Iran conflict…

Outperformance (percentage points) between the MSCI EM index and the MSCI US Index since 2000



Source: Bloomberg Finance LP, Deutsche Bank

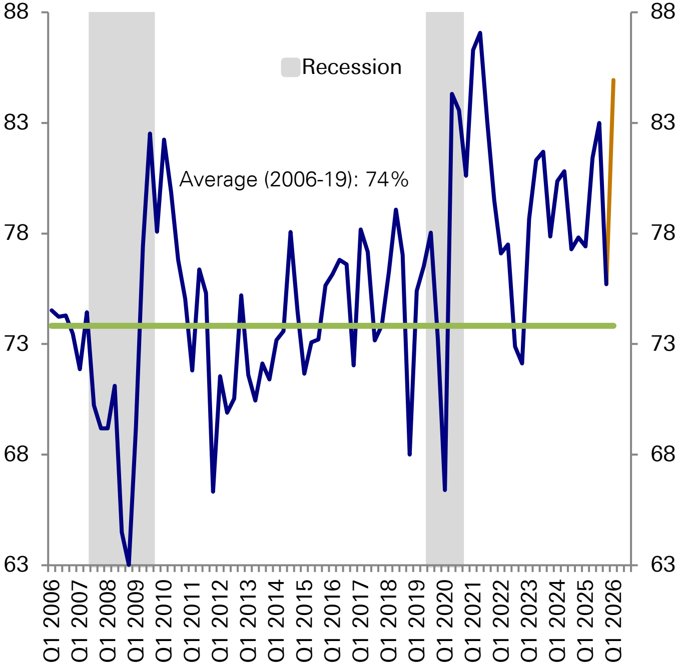
Q1 US earnings season has been great though…

Deutsche Bank
Research

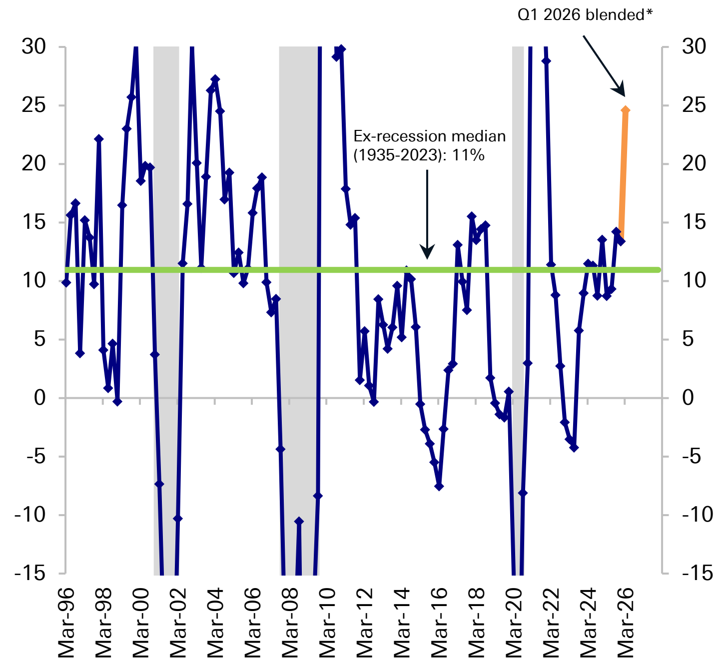
Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

According to our equity analysts, this is one of the best earnings seasons in 20 years. See Parag Thatte and Binky Chadha's piece here for more...

Proportion of S&P 500 beating earnings estimate (%)



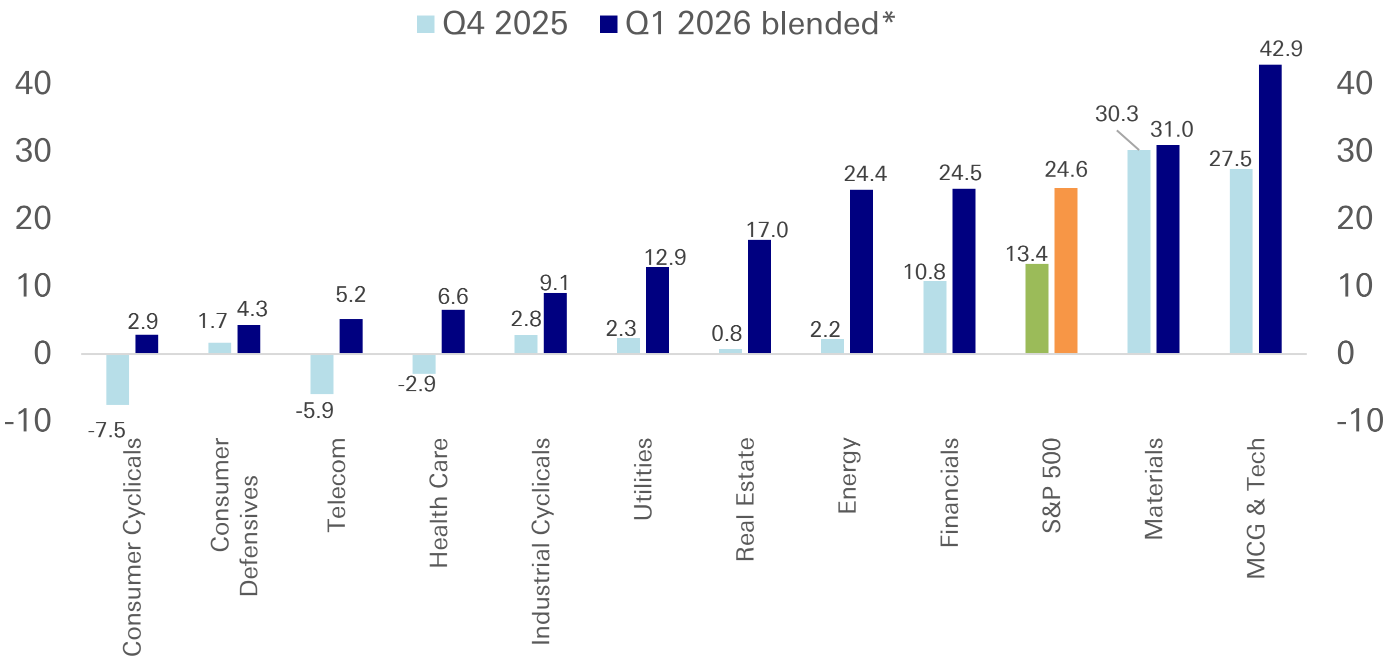
S&P 500 quarterly earnings growth* (% yoy)



*Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation, *Excluding 2018 tax cut; blended assumes companies that report beat at the current rate*

All 11 top level sectors are expected to show YoY earnings growth for the first time in 4 years... See Parag Thatte and Binky Chadha's piece here for more...

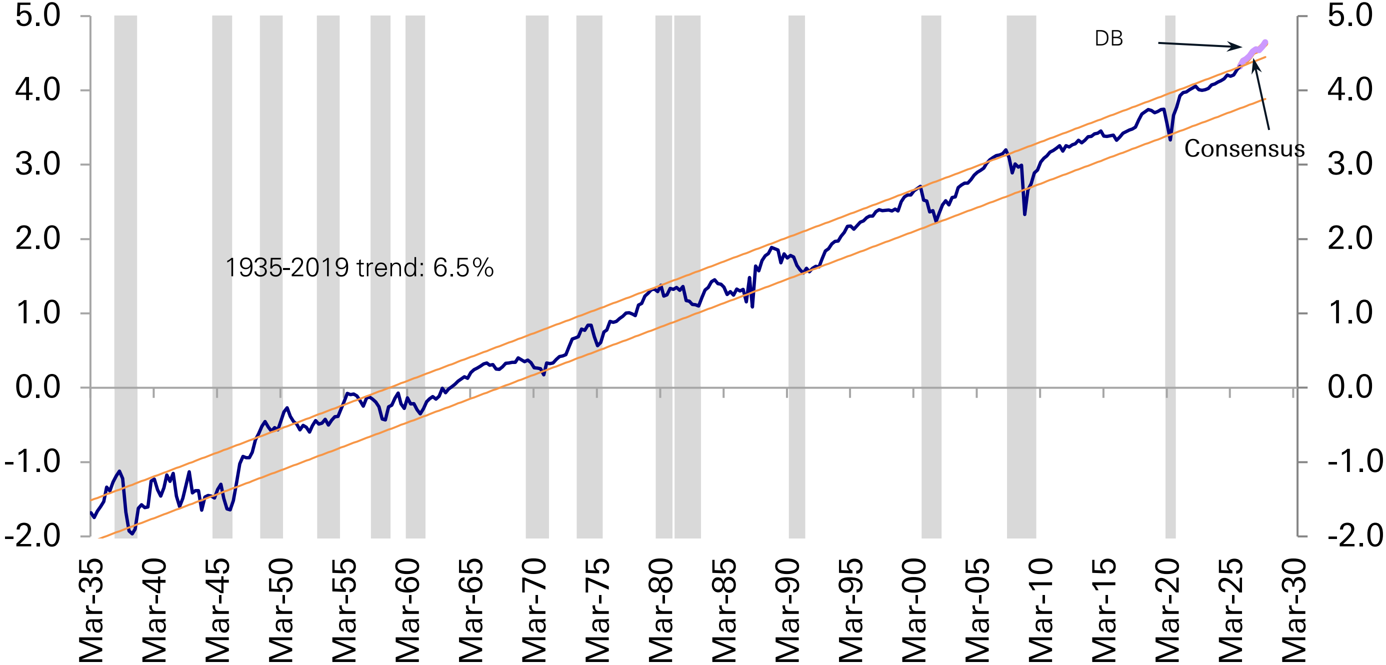
Earnings growth by S&P 500 sector group (% yoy)



*Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation; * Blended assumes companies that report beat at the current beat rate*

Remarkably, S&P 500 earnings growth is likely to break out on the upside of a 90-year channel even though real and nominal GDP, and productivity have been higher for long periods of time over this period. See Parag Thatte and Binky Chadha's piece here for more. Is this a new paradigm or unsustainable?

S&P 500 quarterly EPS seasonally adjusted (log)



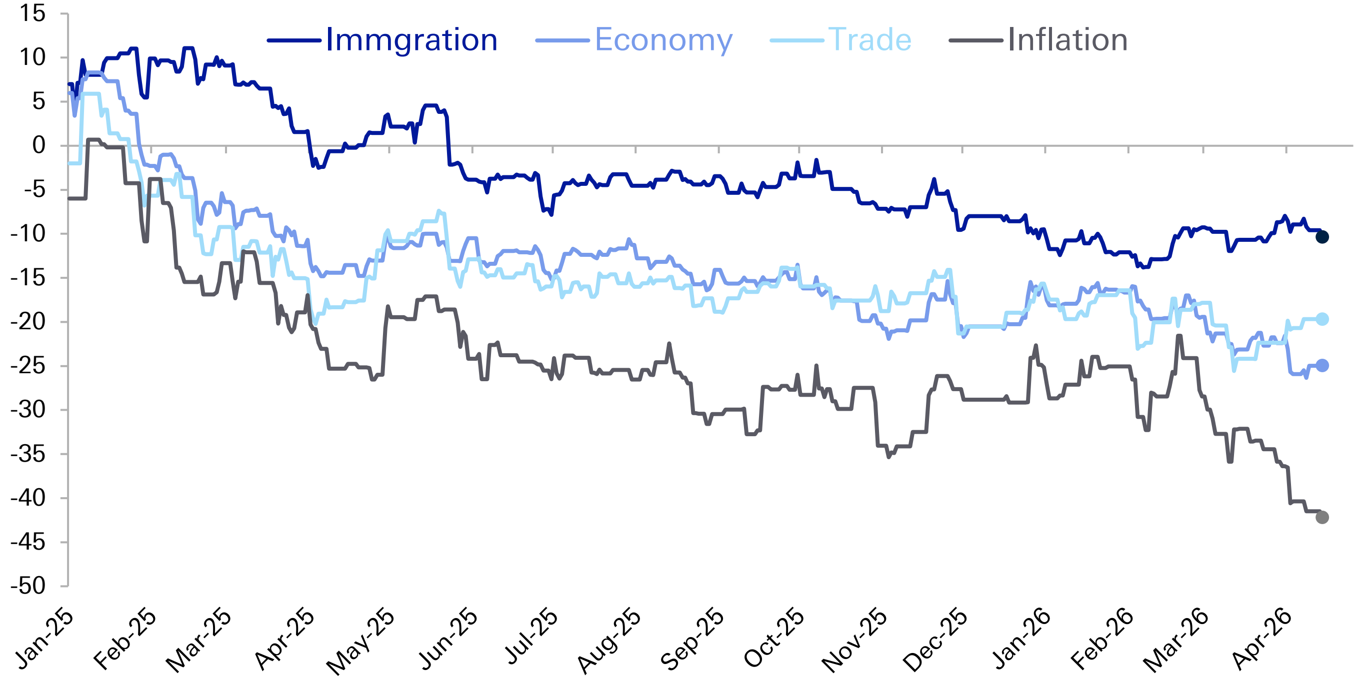
Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation

The longer the conflict/stand-off lasts the tougher it is politically…

Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

Concern over inflation and the cost of living is also a prominent political issue that's been hurting incumbents around the world in recent years…The War in Iran seems to have had a further impact. The US midterm elections are just 6 months away now as well…

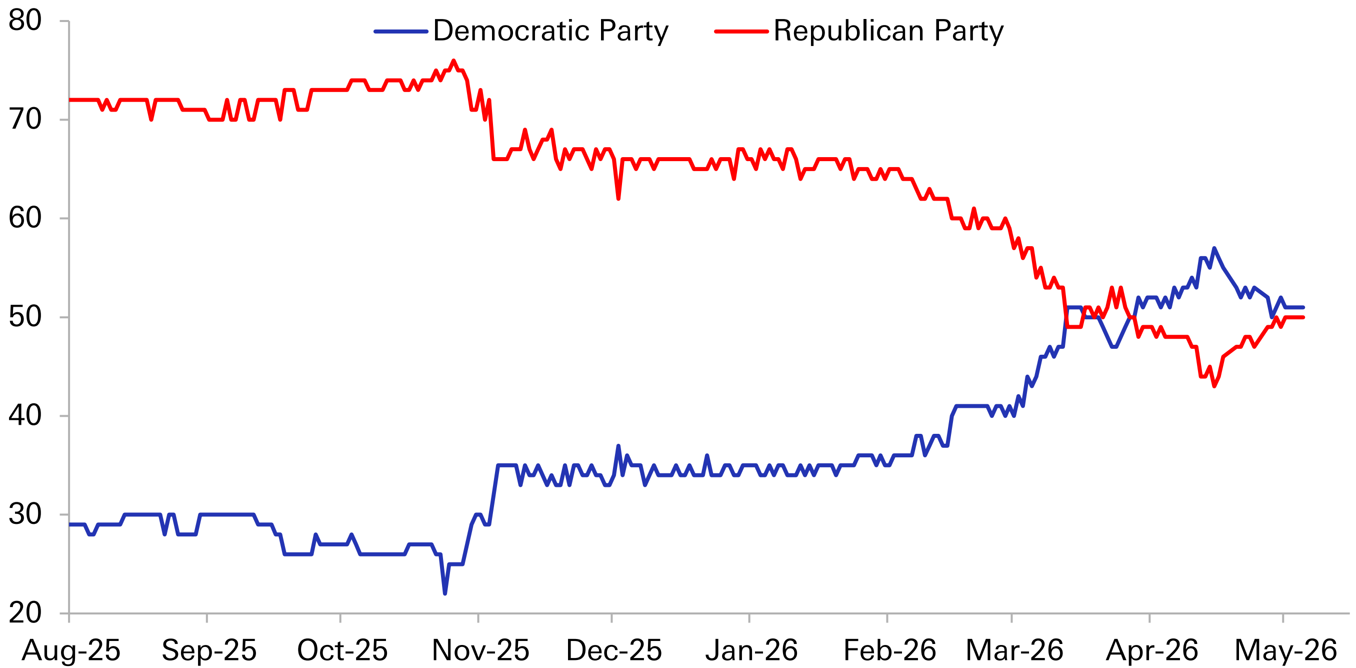
An updating polling average of Donald Trump's net approval rating on immigration, the economy, trade, and inflation, accounting for each poll's quality, recency, sample size, and partisan lean



Source: Nate Silver, Deutsche Bank, updated through May 4

Since around the time the Iran strikes began, the Democrats have become the (narrow) favourites to retake control of the Senate… that would have a big impact on appointments like Fed Governors, cabinet members and Supreme Court justices, which all require Senate approval…

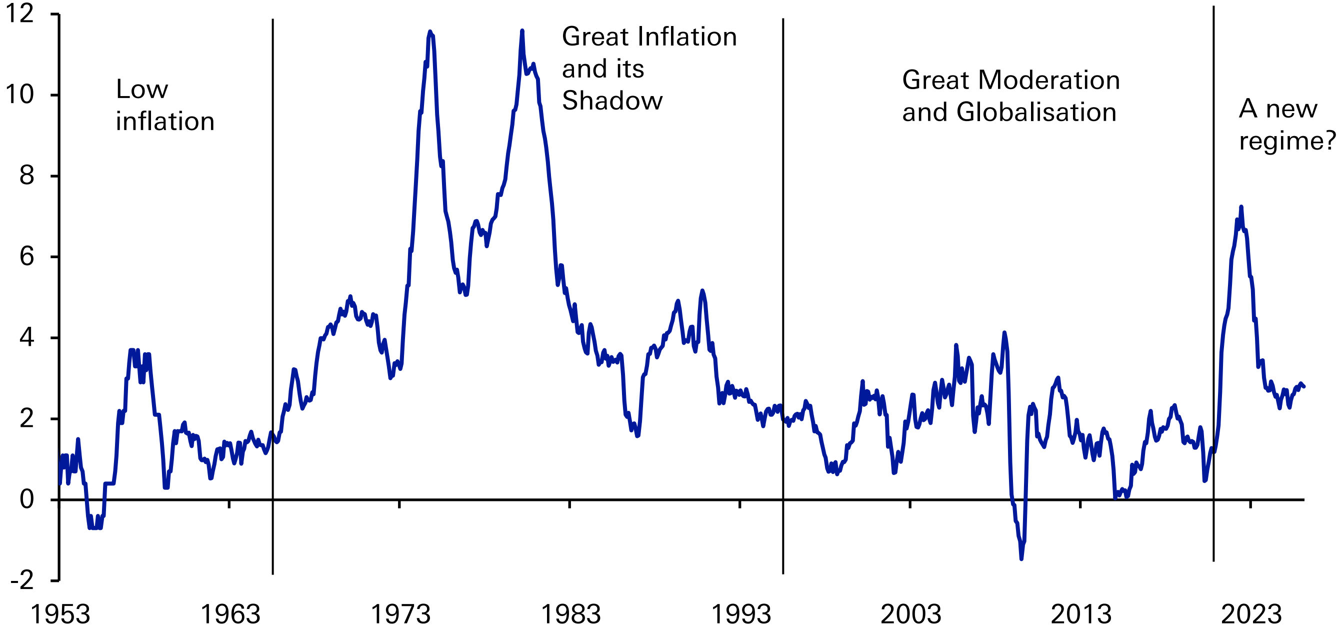
US Polymarket Party control Senate after 2026 Midterm election



Source : Bloomberg Finance LP, Deutsche Bank, updated through May 5

Linked to the inflation approval rating, the Fed's target measure of PCE inflation has now been above the 2% target for 5 years… This is very different to the low-inflation era before the pandemic… could we be in a new regime?

US PCE Inflation (year-on-year % change, using CPI before PCE begins in 1959)

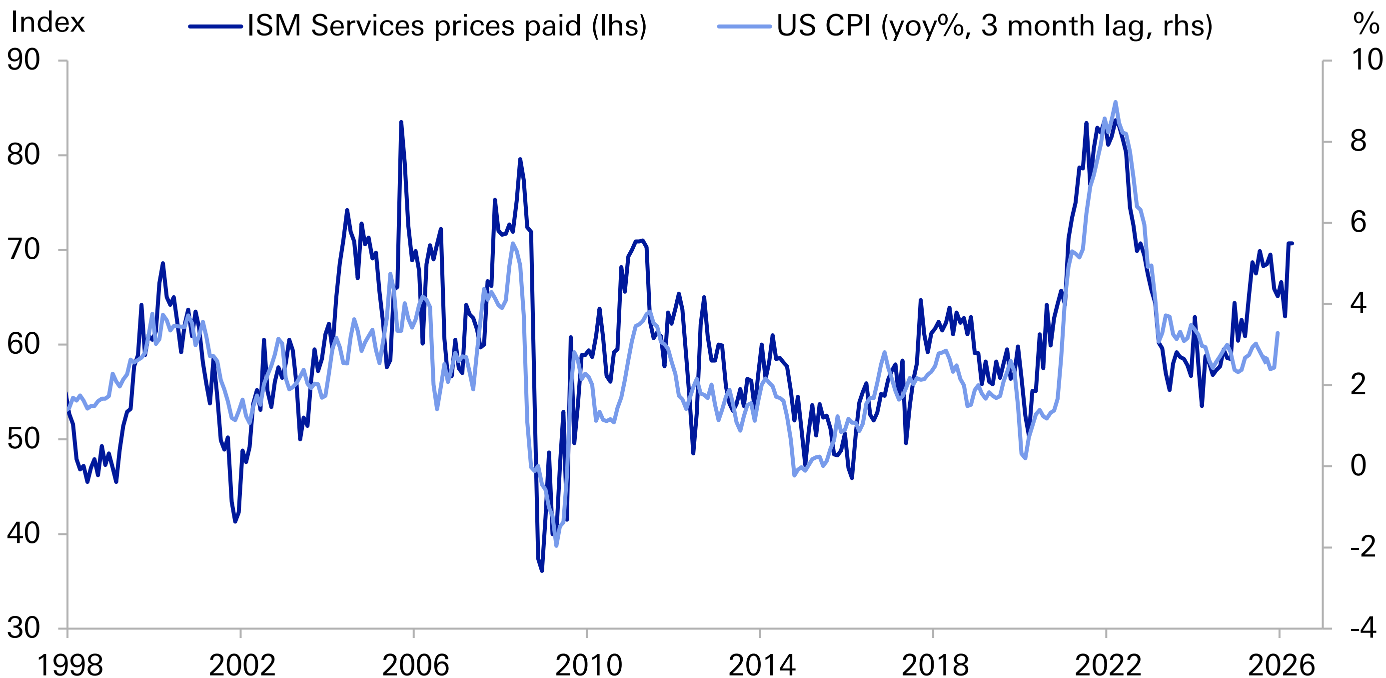


Source: Haver Analytics, Deutsche Bank

Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

The prices paid component of the ISM Services is a strong leading indicator of inflation with a 3-month lag… It's just hit its highest since 2022…

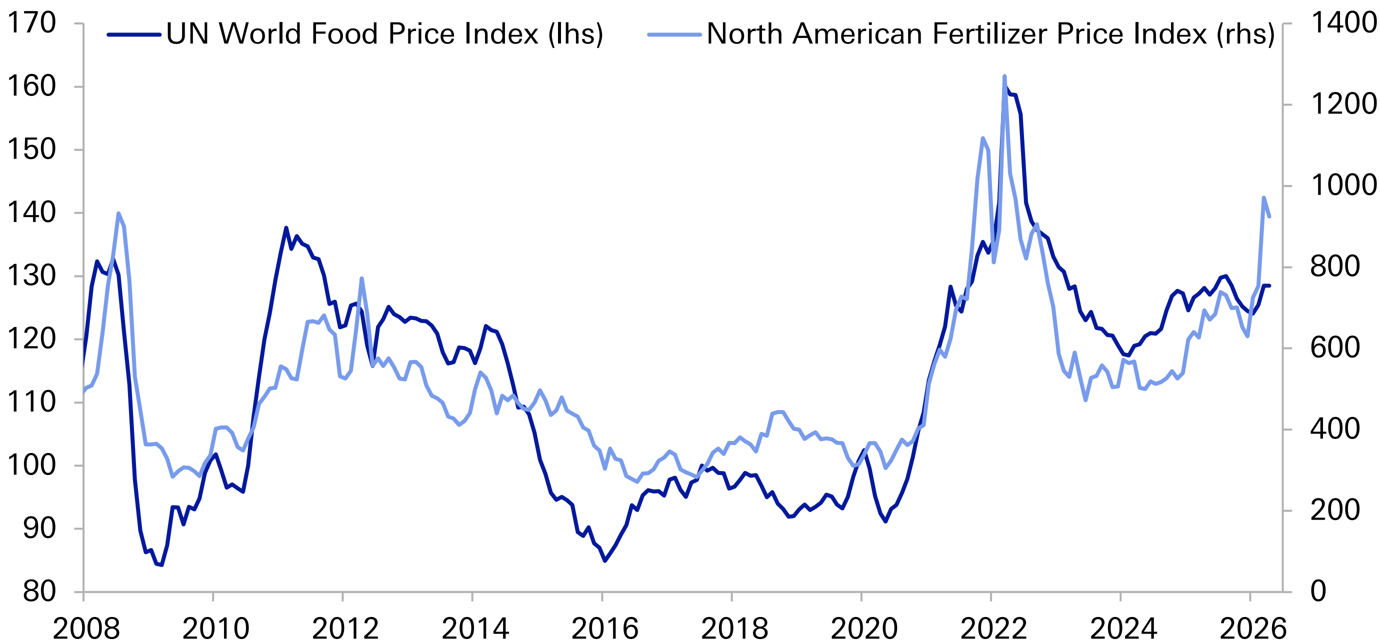
ISM Services Prices Paid and US CPI (with a 3-month lag)



Source: ISM, BLS, Haver, Deutsche Bank

Another concern is that food price inflation will also start to rise, and we've already seen a rise in fertiliser prices… this could be particularly problematic as food is an essential good, so unlike other parts of the consumer basket, it's difficult to substitute away from…

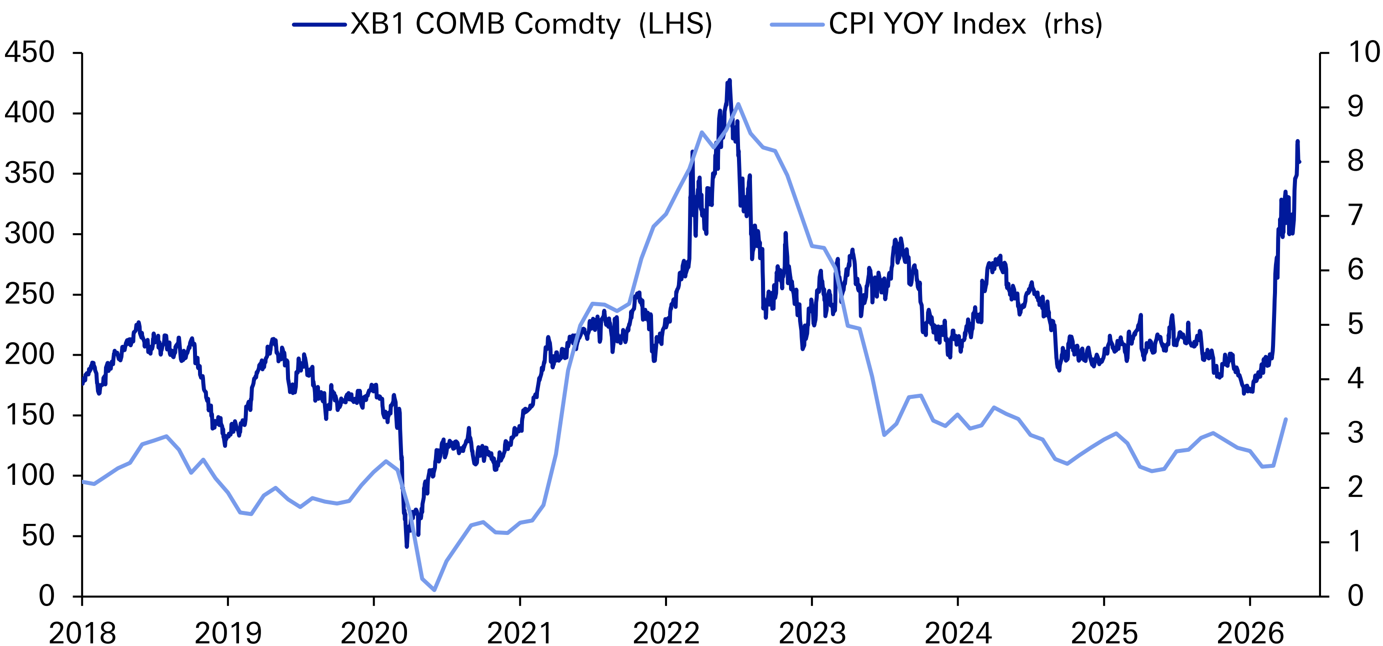
Food prices and fertiliser prices



Source: Bloomberg Finance LP, Deutsche Bank

This inflation has been quite obvious to consumers, as higher gasoline prices have passed through quickly…

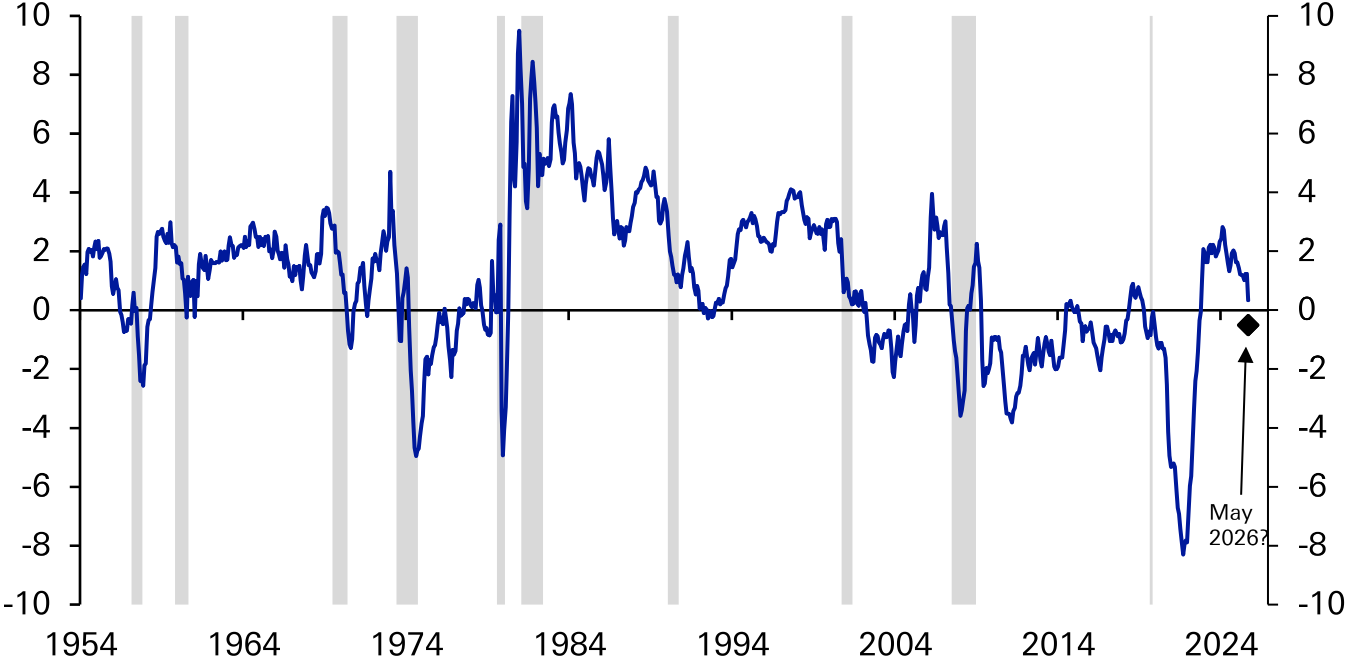
Gasoline prices (XB1) vs. CPI Inflation



Source: Bloomberg Finance LP, Deutsche Bank; Last update May 4

The real federal funds rate (simply fed funds minus year-on-year CPI) is set to head back into negative territory because of the energy shock… under DB's US econ forecasts, it would be back to -0.5% in May…

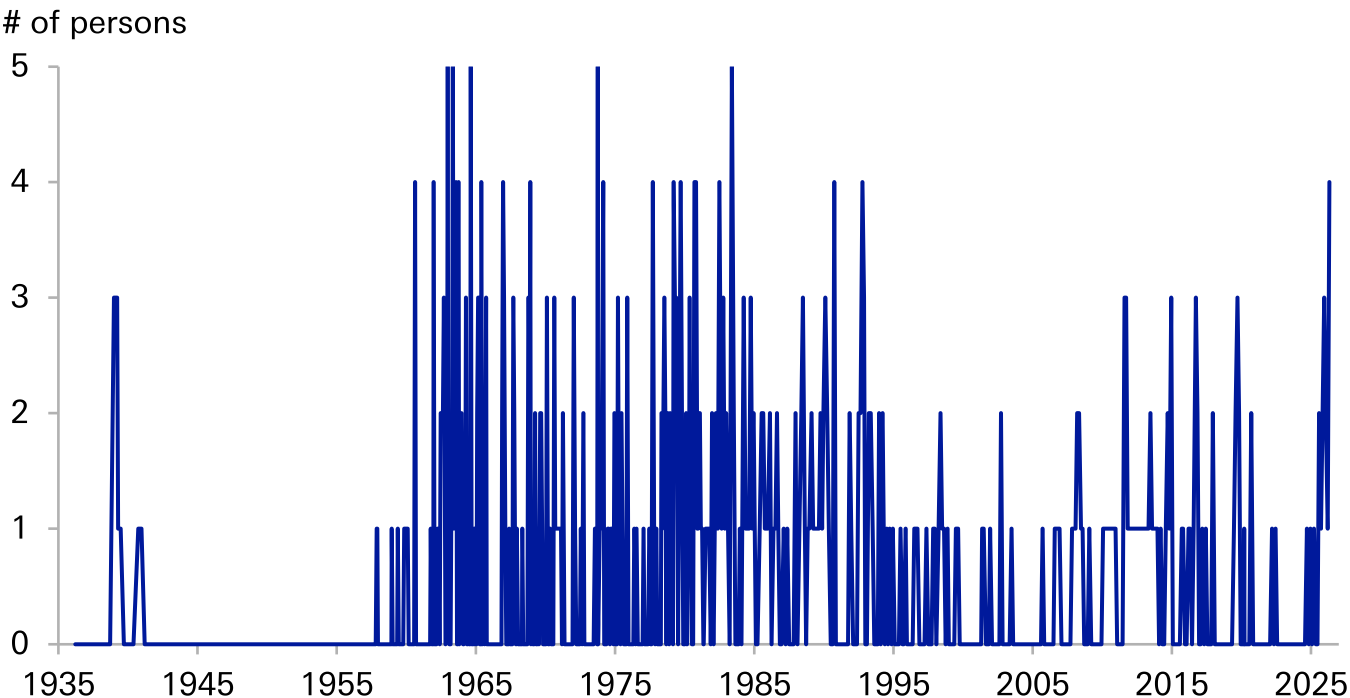
Real federal funds rate (fed funds minus year-on-year CPI)



Source: Haver Analytics, Deutsche Bank

The energy shock has exacerbated recent FOMC disagreements. The April meeting saw 4 members dissent from the decision in some way, the most dissenters on a vote since 1992…

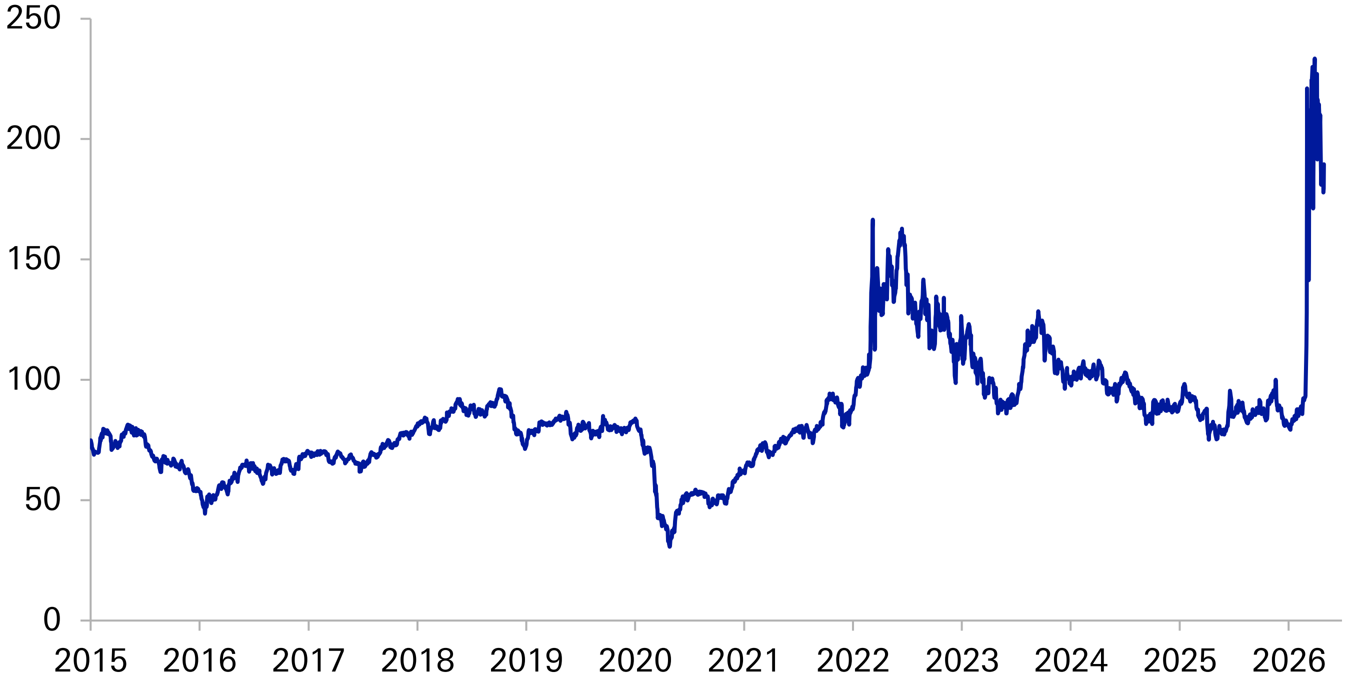
US FOMC Dissents Votes Against Action



Source: Bloomberg Finance LP, Deutsche Bank

As summer holidays approach, the risk is high stress for the aviation sector and travellers……

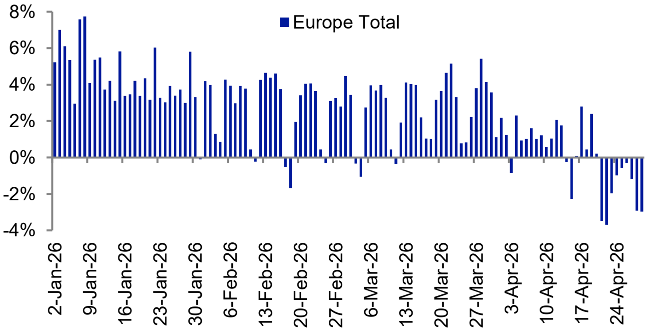
Jet Fuel Singapore FOB Cargoes (USD/barrel)



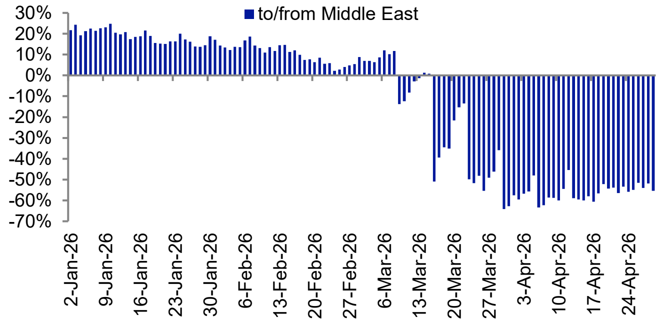
Source : Bloomberg Finance LP, Deutsche Bank.

The number of flights to and from Europe are trending down. Initially because of a cancellation of most Middle East flights but increasingly other flights are being cancelled due to being unprofitable at current fuel prices…

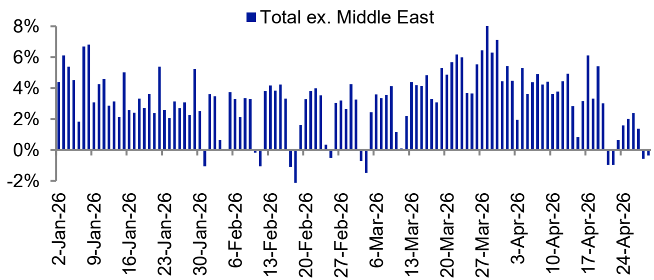
Daily flights to/from Europe (%y/y)



Daily flights to/from Middle East (%y/y)



Daily flights to/from Europe ex Middle East (%y/y)



Source: Cirium, Deutsche Bank; Note: The Diio Mi sourced data in this report has been extracted from a Cirium product. Cirium has not seen or reviewed any conclusions, recommendations or other views that may appear in this document. Cirium makes no warranties, express or implied, as to the accuracy, adequacy, timeliness, or completeness of its data or its fitness for any particular purpose. Cirium disclaims any and all liability relating to or arising out of use of its data and other content or to the fullest extent permissible by law

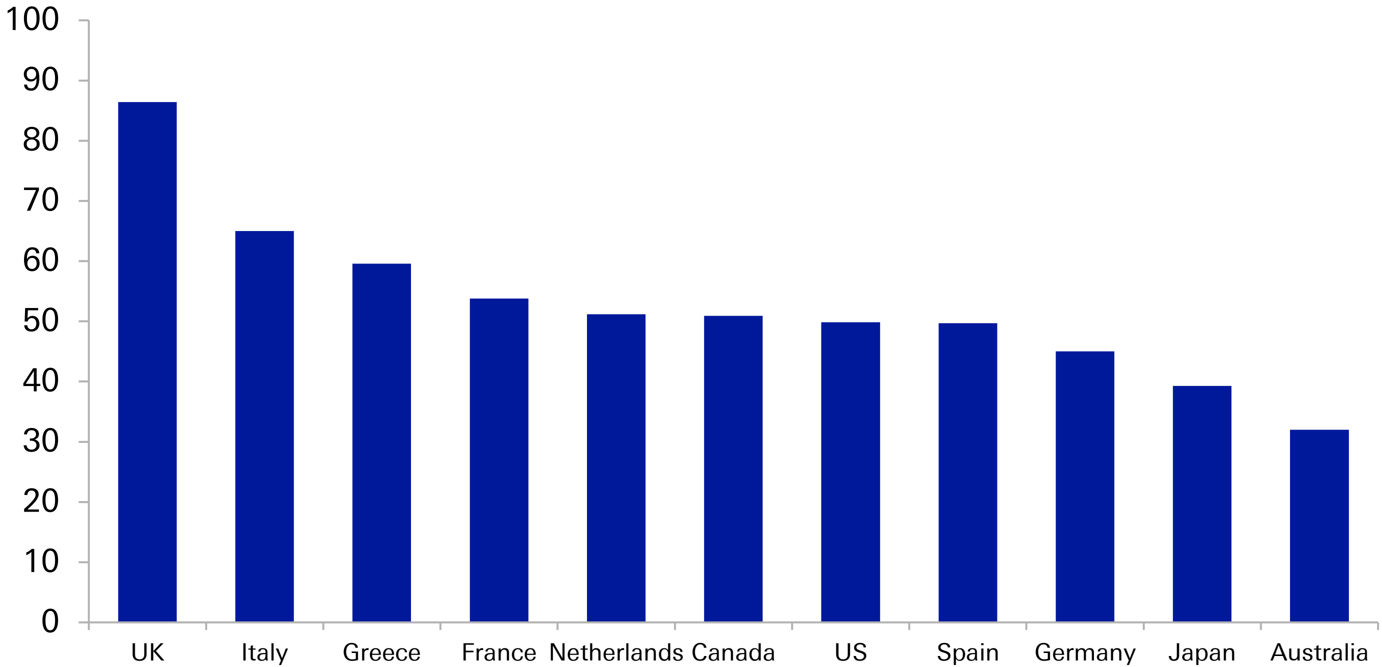
Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

Rates are under pressure…

Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

Yields have risen substantially since the conflict began a couple of months ago… which will constrain governments from providing fiscal support packages… The UK is underperforming on additional political concerns that any move to replace the PM could bring additional spending plans....

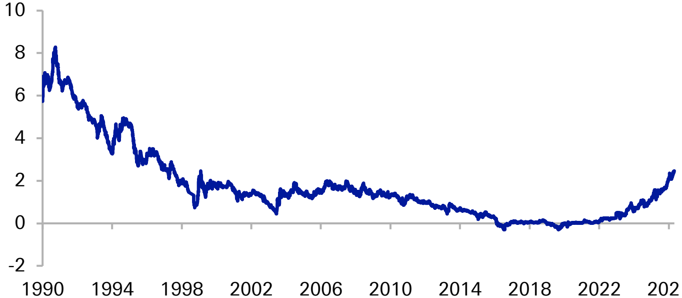
Change in 10y yield since Feb 27th (bps)



Source: Bloomberg Finance LP, Deutsche Bank, Last update May 5

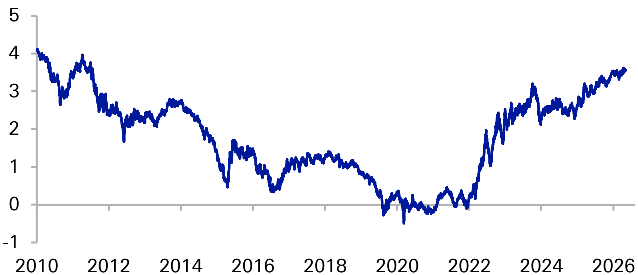
Long-term government bond yields are up to multi-year highs… Japan’s 10yr yield is above 2.5% for the first time since 1997, UK 30yr gilt yields are the highest since 1998, and Germany’s 30yr yield is the highest since 2011 during the Euro crisis… Even 30yr USTs are with 10bps of 18yr highs

Japan 10yr bond yield (%)



UK 30yr gilt yield (%)

Germany 30yr bond yield (%)



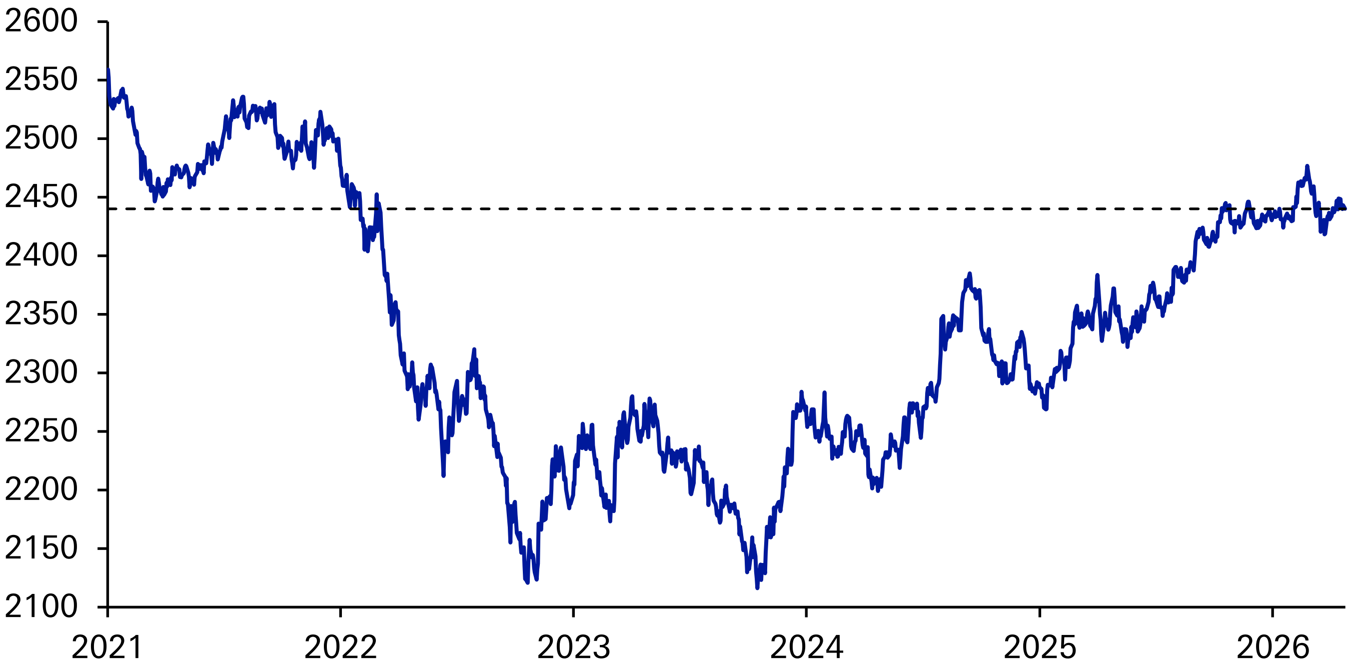
US 30yr Treasury yield (%)

Source: Bloomberg Finance LP, Deutsche Bank

Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

In fact, on a total return basis, US Treasuries still haven't got back to their peak before the 2021-22 inflation spike…

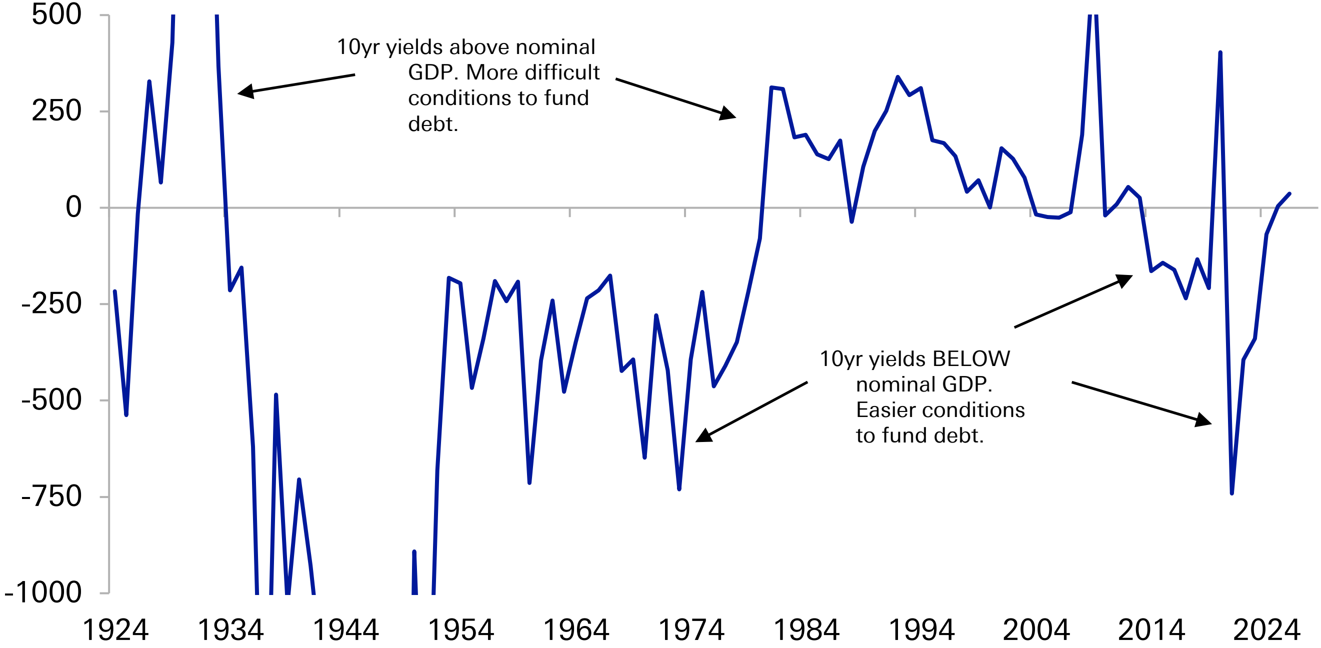
iBoxx US Treasuries (Total Return Index)



Source: Bloomberg Finance LP, Deutsche Bank

This backdrop of higher yields comes as DM Funding costs (using 10yr yields as a proxy) are now getting close to or even above Nominal GDP growth. In the post-GFC period of high debt and financial repression, yields were consistently below nominal GDP.... But that's now over, making it more difficult for governments to cushion economic shocks…

Average difference between Nominal GDP growth and 10yr yields for US, UK, Germany, France, Italy and Japan

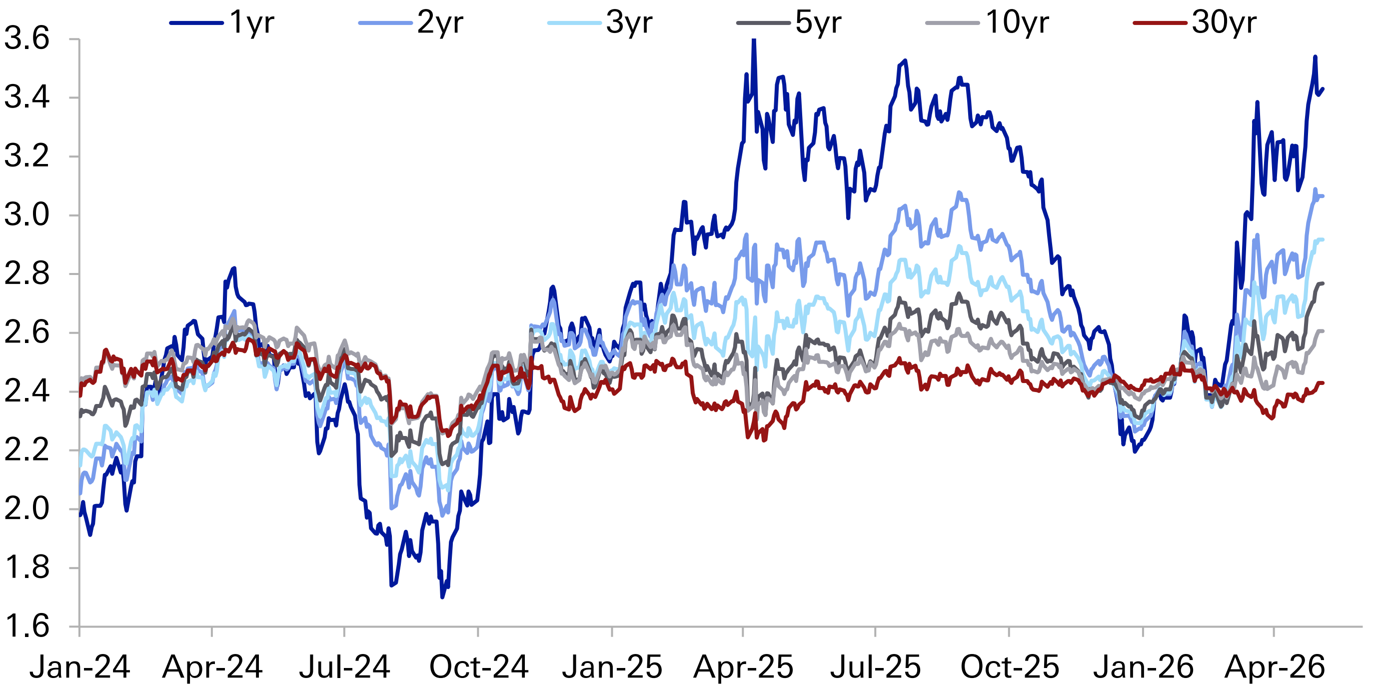


Source : Finaeon, Deutsche Bank

Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

One of the problems for rates is that we've now had two US inflation expectations shocks in the last 12 months. Tariffs and now energy… this follows a period where inflation calm had been restored after the shock of 2021-22.

US Inflation Swaps (%)

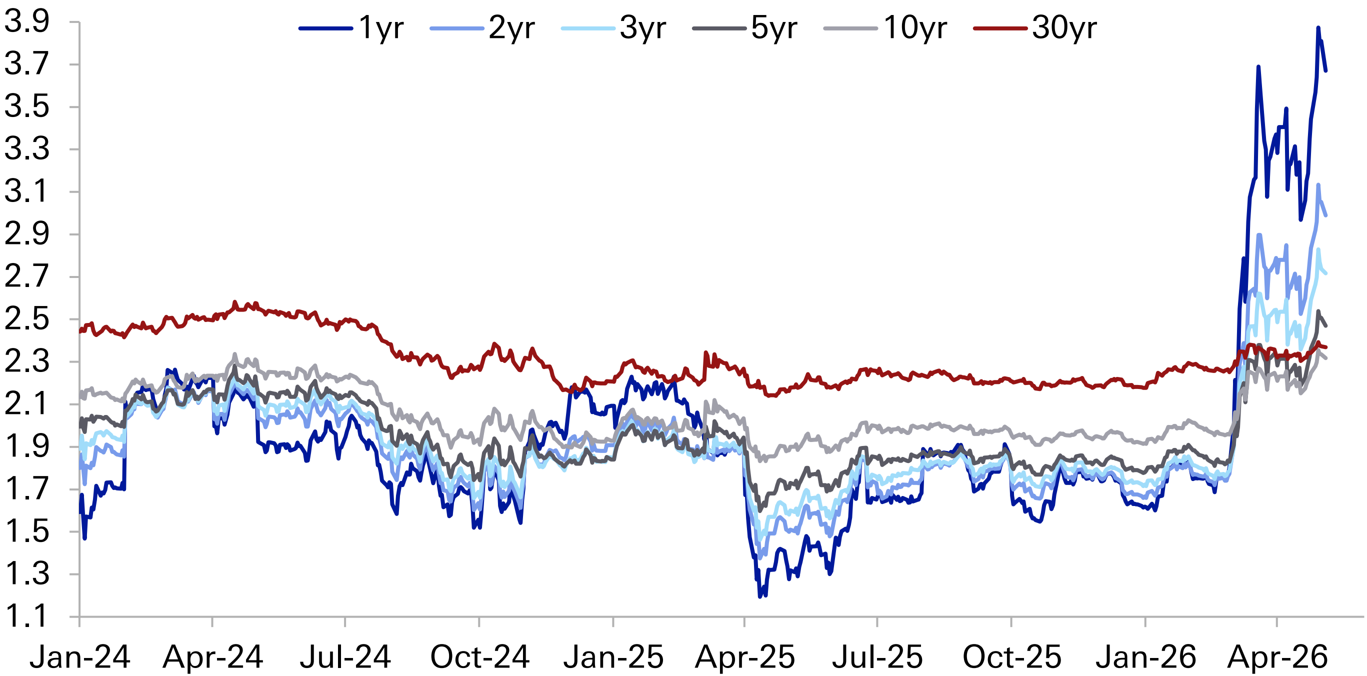


Source: Bloomberg Finance LP, Deutsche Bank

Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

Europe had got inflation expectations back to target levels and didn't see a shock due to US tariffs (in fact the opposite). However, that has changed since the war in Iran, and markets are now pricing in multiple ECB rate hikes this year…

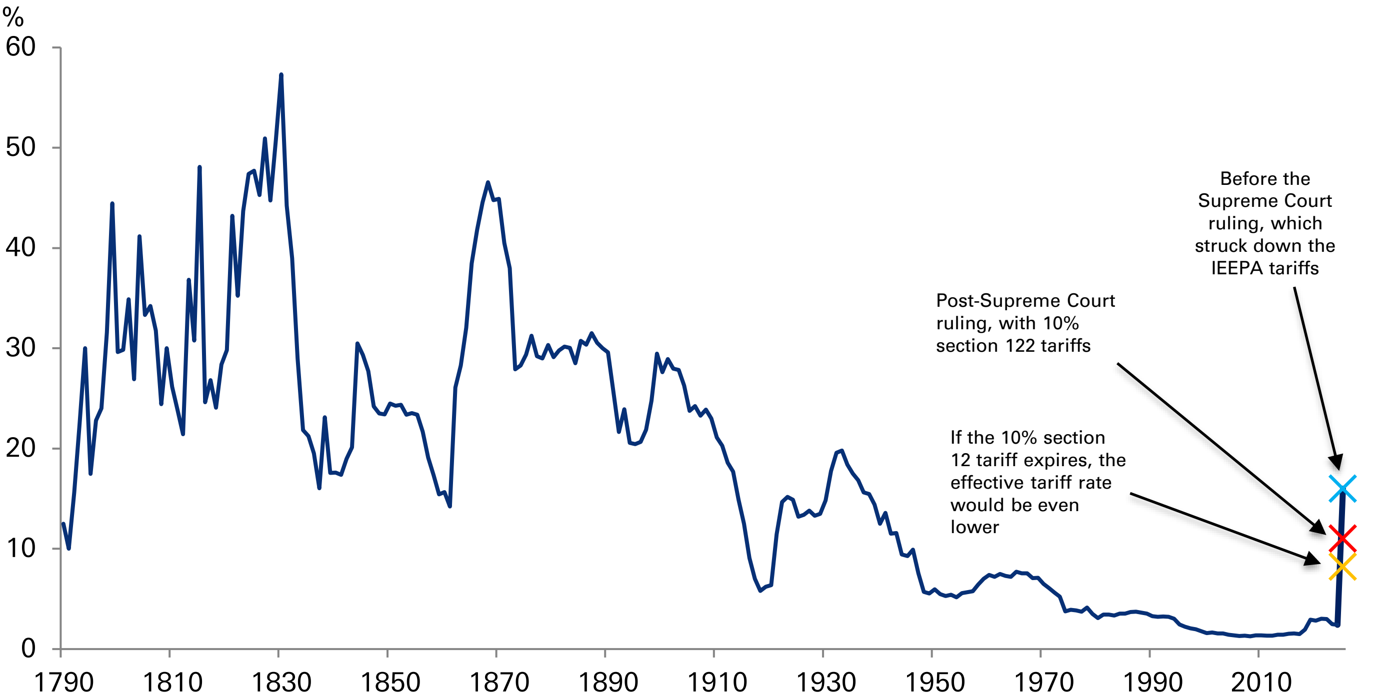
EUR Inflation swaps



Source: Bloomberg Finance LP, Deutsche Bank

But whilst many inflation pressures are on the upside right now, the tariff impact has been coming down versus last year and worst-case fears… the 10% global tariff that replaced the IEEPA tariff has brought down the effective tariff rate, and if that expires in late-July (Congress would have to extend), then the tariff rate would fall even further…

US Average Effective Tariff Rate



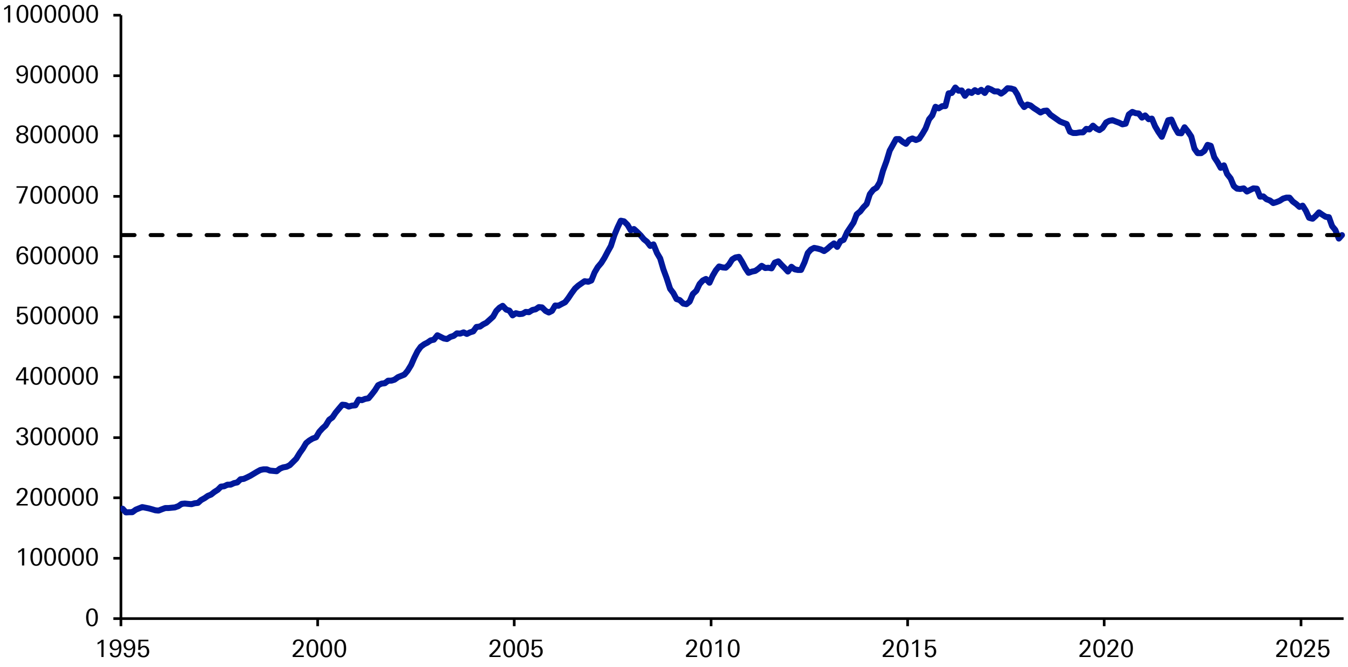
Source: budgetlab.yale.edu, Deutsche Bank

Rising yields aren't great for housing…

Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

In inner London, where some of the most expensive housing in the UK is, prices have been coming down for the last decade in real terms… they're now beneath the pre-GFC peak nearly 20 years ago…

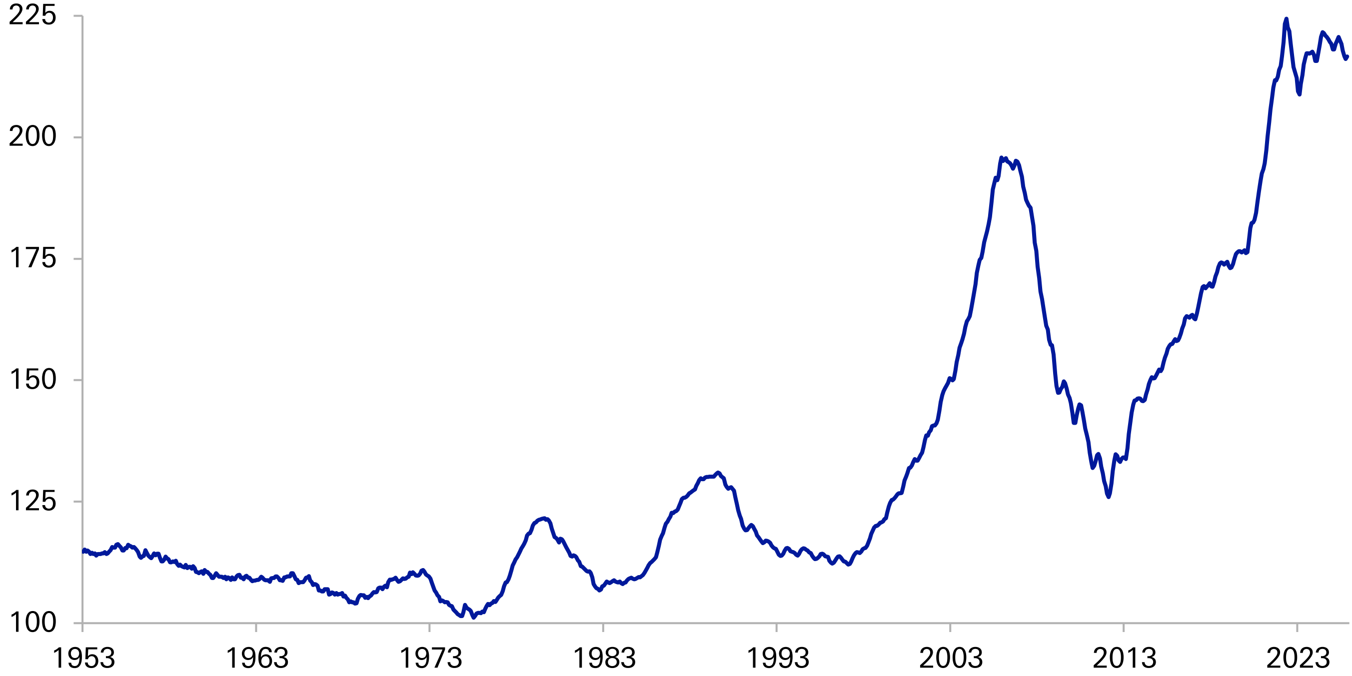
Inner London House prices in real terms (Jan 2026 prices, UK pound sterling)



Source: Haver Analytics, Deutsche Bank

In real terms, US house prices have been stagnant for 4 years… although they're still hovering around record highs…

Real Home Price Index (NSA, 1890=100)



Source: Robert Shiller, Haver Analytics, Deutsche Bank

Will the conflict impact the dollar status

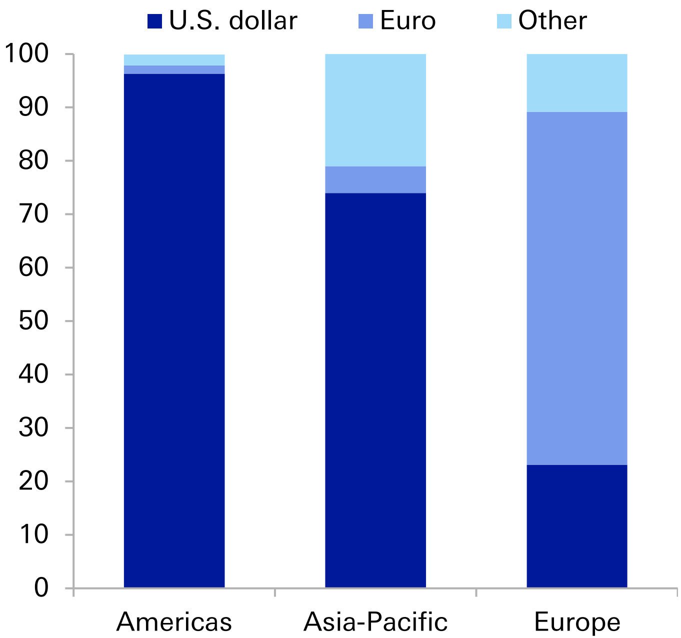
Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

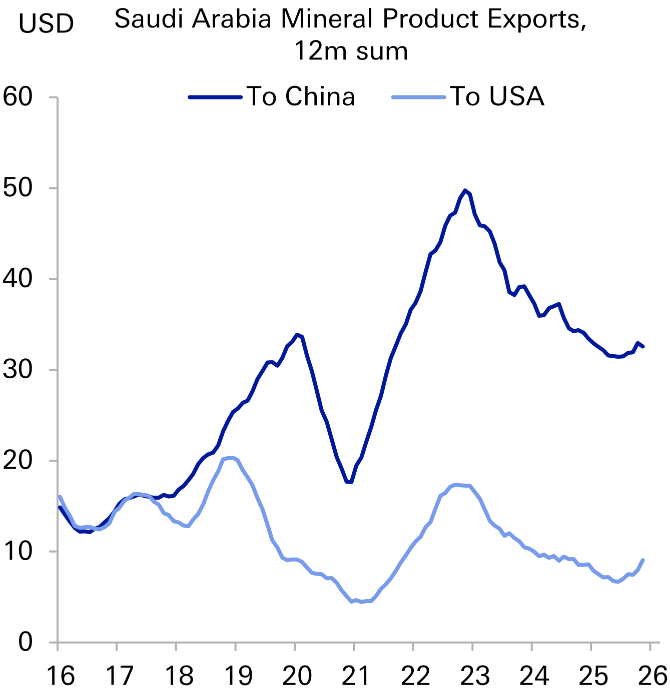
The petrodollar era saw oil priced in dollars with the US providing a security umbrella to the Middle East… the risk for the dollar is that era may be slowly fraying at the edges…. Mallika Sachdeva has written about it here.

The dominance of the dollar in cross-border trade has a lot to do with the petrodollar

There were already signs of instability to petrodollar foundations: Saudi Arabia sells four times as much oil to China now as to the US

Share of Trade Invoicing (%)

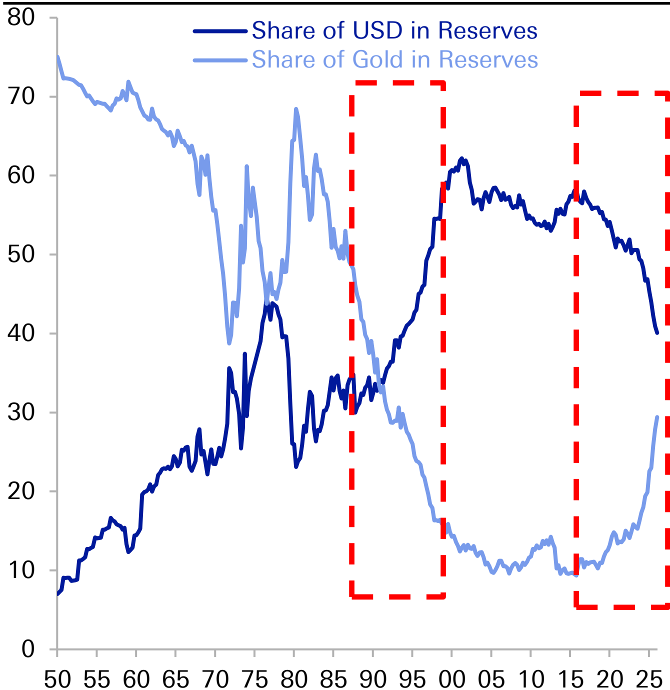


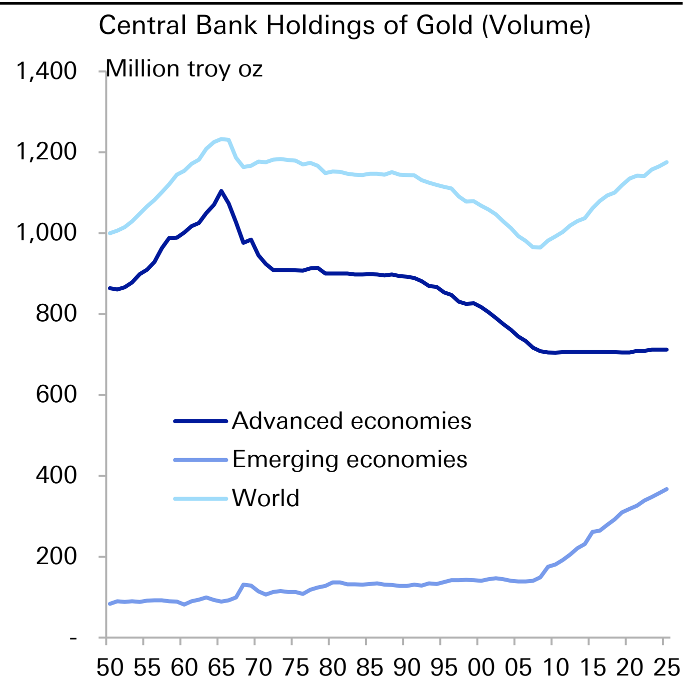


Source: Federal Reserve, CEIC, Deutsche Bank

Linked to the petrodollar theme, there is also de-dollarisation in reserves. Mostly from EM countries. Mallika Sachdeva has written about it here.

The "end of history" in the 1990s saw a sharp rise in the USD and decline in gold's share of reserves. We think history has returned, and it is emerging markets that are leading the charge for gold.





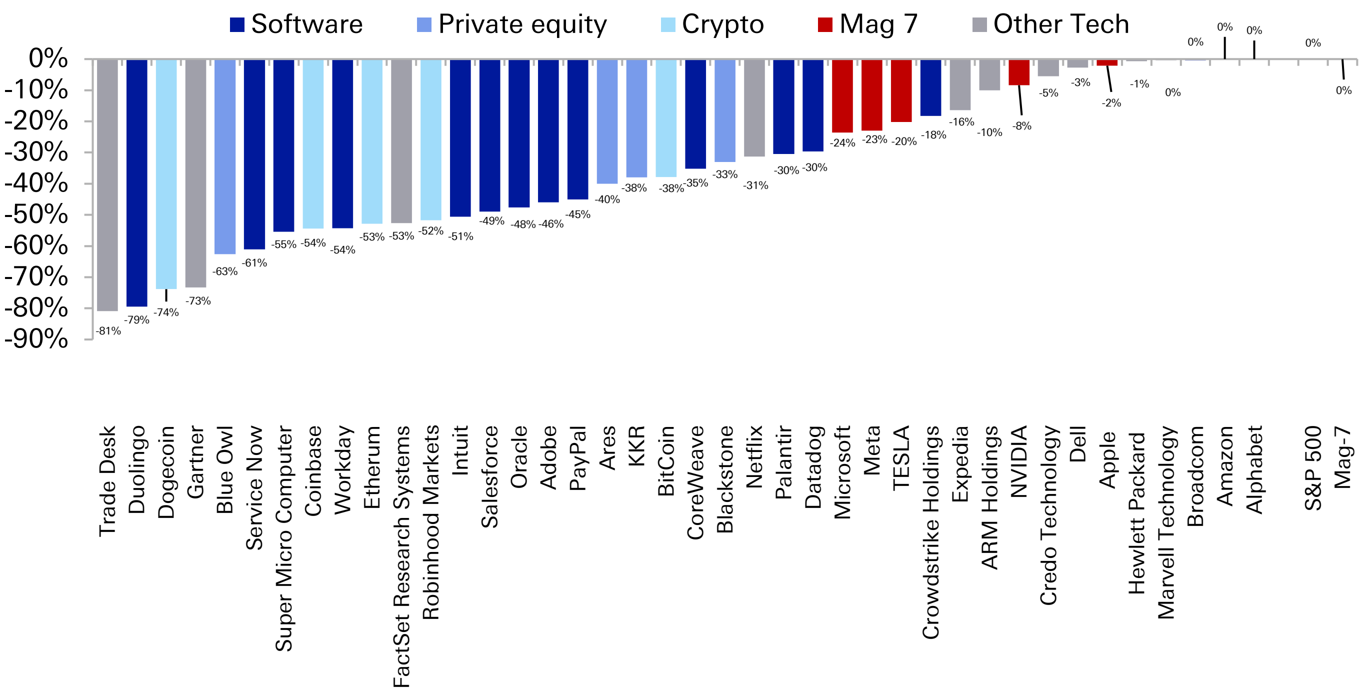
Source: Bloomberg Finance LP, Eichengreen, Chitu and Mehl (2014), IMF International Liquidity Statistics, Deutsche Bank

And finally… when the war is over we have to remember disruption….

Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

The 2026 drawdown in many tech/AI stocks and related or disrupted assets (e.g. crypto and software) has been pretty severe. Private equity has also been hit due to fears on private credit. So remember these themes if and when the war is over...

How Far Are a Selection of AI & Tech Stocks From Their highs? Drawdowns From 52-Week Highs for Selected US Tech and Related Stocks



Source: Bloomberg Finance LP, Deutsche Bank, Last update: May 1

Jim Reid | (+44) 20 7547 2943 | jim.reid@db.com

Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.